BUSINESS REPORT
ARTIFICIAL INTELLIGENCE
ACADEMY

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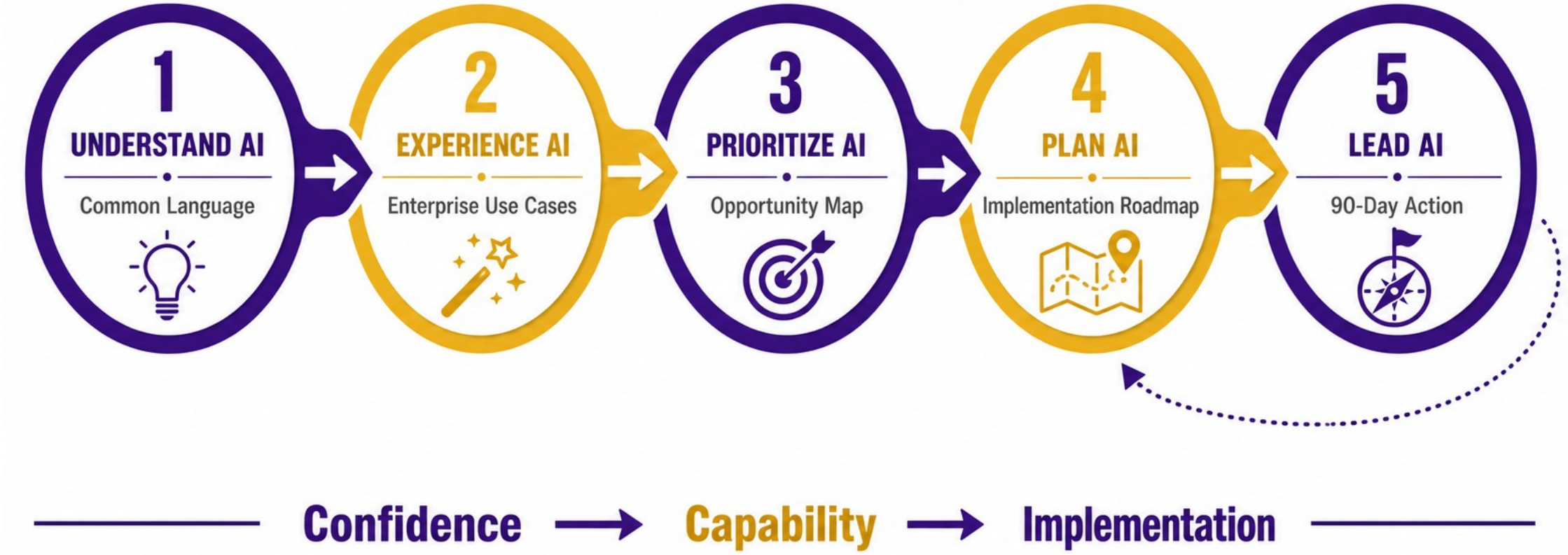
AI ACADEMY

Foundations of Artificial Intelligence

SESSION 1 | SESSION 2 | SESSION 3 | SESSION 4 | SESSION 5

Dr. Andrew Schwarz

The AI Academic Journey



Session 1 Timeline

- 8:15 Learning Block 1: Understanding AI: How It Works and How We Got Here
- 8:50 Break
- 9:00 Learning Block 2: AI in the Enterprise: Connecting Strategy, People, Processes, Data, and Technology
- 9:50 Application Block 1: AI Leadership Readiness Assessment
- 10:15 Application Block 2: From Business Challenge to AI Opportunities
- 10:55 Learning Block 3: Evaluating AI Tools and Strategies
- 11:20 Learning Block 4: Leading with AI
- 11:40 Application Block 3: AI Leadership Decision Lab
- 12:30 Adjourn

Learning Block 1:
Understanding Artificial Intelligence and how we got here

Which recurring activity or decision consumes substantial time, creates frustration, or produces inconsistent results?

Write down one activity or decision from your organization.

Discuss your example with one other participant.

Choose the example with the clearest business impact.

Be ready to share:
One specific activity or decision that may be worth improving using AI.

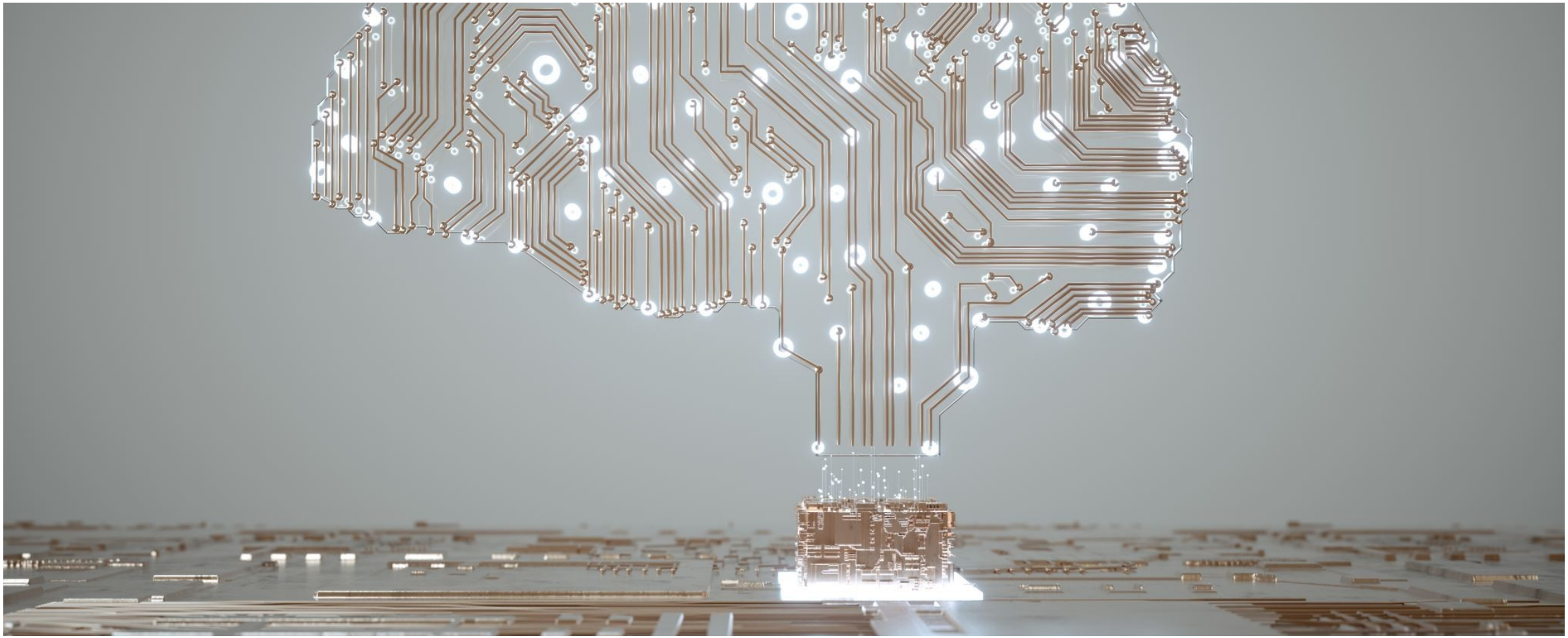
5 MINUTES

Session 1 Learning Objectives

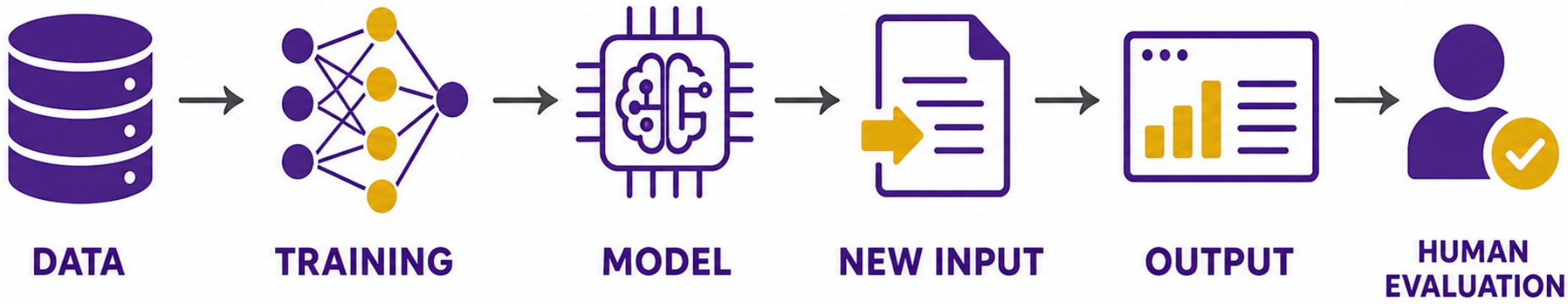
1. Describe conceptually how modern AI works.
2. Explain the evolution of AI through rules-based, predictive AI, generative AI, and agentic AI.
3. Use an enterprise architecture framework to explain how AI can affect an organization's strategy, value propositions, business processes, data, workforce capabilities, applications, governance, and ethics.
4. Evaluate the strengths and limitations of current AI tools and compare major AI platforms based on the task, information environment, organizational fit, and level of risk.
5. Explain how AI becomes a strategic business capability when integrated with organizational data, workflows, people, and governance—and distinguish AI's contribution to decision-making from the judgment and accountability that remain with leaders.

Understanding Artificial Intelligence (LO1)

Artificial Intelligence (AI) refers to the simulation of human intelligence processes by machines, particularly computer systems. It involves developing algorithms and models that enable machines to learn, reason, perceive, understand natural language, and make decisions to solve problems or perform tasks typically requiring human intelligence.

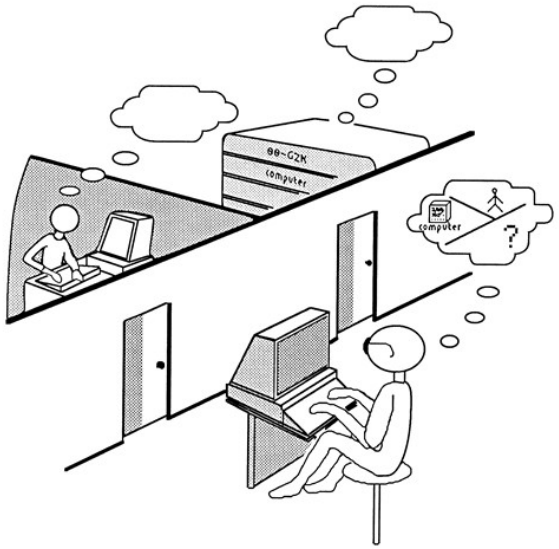


Artificial Intelligence at a High Level



Acting Humanly: Turing Test

- The AI approach to act like a human means that a system should not only think like a human, but be able to carry out the same behavior as the human
- Derived from the Turing test
  - You must be able to interact with a computer and that the human must not know a computer is on the other end
- Suggested four capabilities are necessary
- Natural language processing
  - Knowledge representation
  - Automated reasoning
  - Machine learning



AI and Human Knowledge

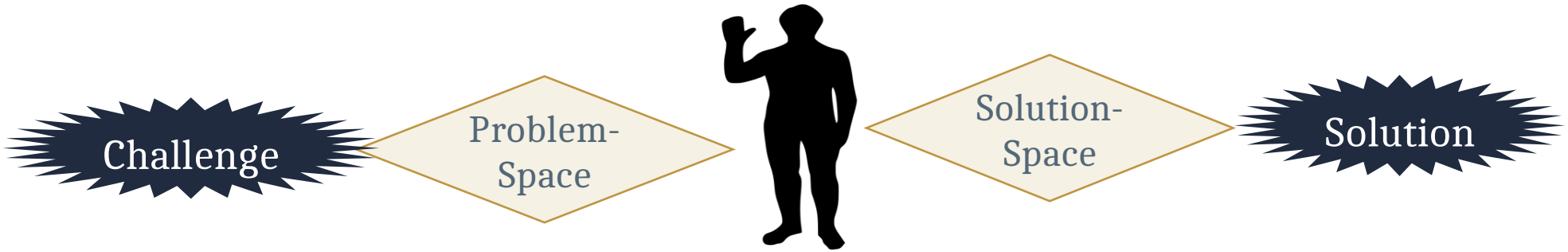
AI is fundamentally about the relationship between human and computer knowledge

So, for us to model human thought and behavior, we need to think further about how humans process the world around them and design solutions

Does not mean that the human processing is correct and technical logic is not (or vice versa)

Human Thought Process

Collect and make sense of
the problem(s)



Discover
and define
the
problem(s)
to be solved

Develop
solution(s)
to the
problem(s)

Over time, with enough experience, humans are able to take their knowledge and contextualized data and information, reflecting AI as a rational agent:

[f: P* → A]

Modeling Human Thought

Humans are able to take…

- Raw data
- Shape the data using concepts understood from past experience
- Apply these concepts to rules of the given facts
- Test these rules through heuristics and models

In order to act rationally

Human Thought vs. AI

AI has more….		
Scalability	Longevity	Improvement capabilities

But, human thought has more…		
Experience and training	Understanding of context	Ability to ask the right questions

AI Purposes

"AI can have two purposes. One is to use the power of computers to augment human thinking, just as we use motors to augment human or horsepower. Robotics and expert systems are major branches of that. The other is to use a computer's artificial intelligence to understand how humans think. In a humanoid way. If you test your programs not merely by what they can accomplish, but how they accomplish it, they you're really doing cognitive science; you're using AI to understand the human mind."

Herb Simon

Thinking Humanly: Cognitive Modeling

The AI approach for systems to think as humans means that the technology should get inside the human mind

Derived from 1960's "cognitive revolution"

Information-processing psychology

Requires scientific theories of internal activities of the brain

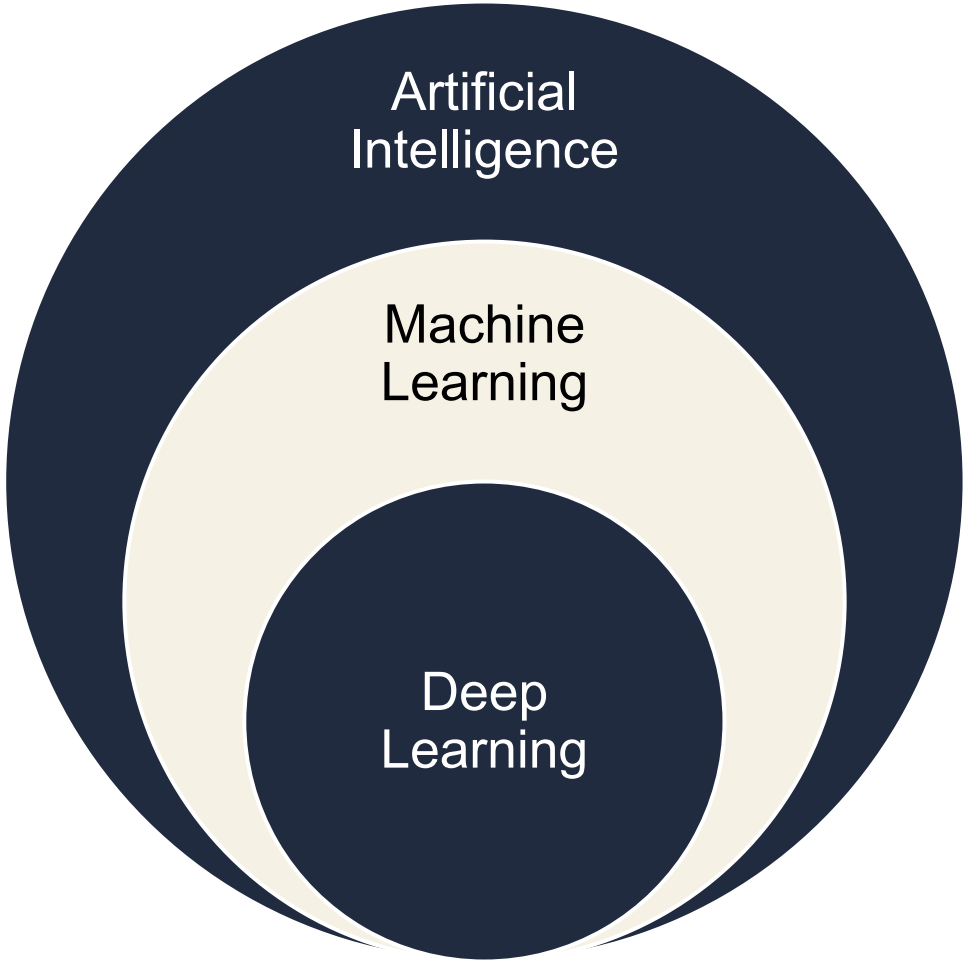
Also requires us to:

Predict and test behavior of human subjects (top-down)

Directly identify from neurological data (bottom-up)

Making an Intelligent Machine

AI relies upon machine learning and deep learning



Machine Learning are algorithms that allow computers to learn from examples without being programmed

Deep Learning is a subset of machine learning which uses neural networks as models and does not require engineering

Machine Learning as a “Black Box”

- Machine Learning uses algorithms and the training data to find patterns that are then used to apply to new data
- Inside of the ML are mathematical algorithms that are seeking to determine the relationships between the data
- New data is then applied to the algorithm
- Training
  - Given a *training set* of labeled examples $\{(\mathbf{x}_1,y_1), \ldots, (\mathbf{x}_N,y_N)\}$, estimate the prediction function f by minimizing the prediction error on the training set
- Testing
  - Apply f to a never before seen *test example* $\mathbf{x}$ and output the predicted value $y = f(\mathbf{x})$

Deep Learning and Big Data



Machine learning techniques work when there is not “big data” and the interrelationships between the variables is not complex



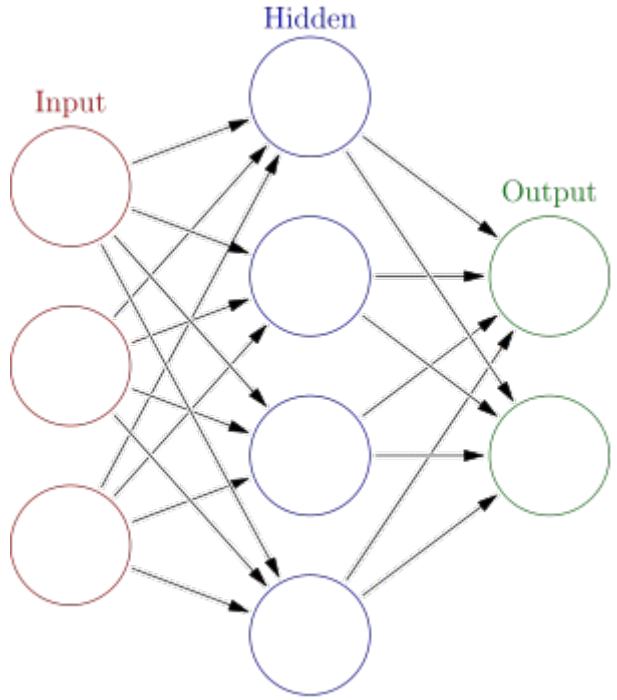
Deep learning can allow us to find the hidden patterns of relationships that exist when we do not know what they are



Deep learning is facilitated by Neural Networks

Neural Networks

- A neural network attempts to find the relationship between an input and an output with a “hidden” layer of relationships that exist between the variables
- Each input and output variable is a neuron and they are connected with one another
- Each connection has a weight associated with it
  - Called a path
- The neurons are either activated or not
  - The state of the neuron
- The neural network will alter the states, weights and paths in the network to determine the fit for the data



The Evolution of Artificial Intelligence (LO2)

The Long Arc:
Positioning Agentic AI Historically

Era 1: Rules → Era 2: Learning → Era 3: Language → Era 4: Action

Era 1:
Rules-Based Systems (1950s to 1990s)

- Approach:
  - “If X, then Y”
- Early AI succeeded in structured, predictable domains using explicit logic:
  - Expert systems, decision trees, rule engines
- Strengths:
  - Transparent and auditable (“we can explain the rule”)
  - Reliable in narrow contexts
- Limitations:
  - Hard to scale: rule maintenance becomes expensive
  - Brittle when reality doesn’t match assumptions
  - Poor with ambiguity, language, and changing environments
- Historical lesson:
  - Organizations learned that automation must be **governed**, not just deployed.

Era 2.1:
Statistical Machine Learning (1990s to 2015)

- Approach:
  - “Learn patterns from structured data”
- The rise of ML reframed AI as prediction from examples
  - Spam detection, churn prediction, recommendation systems
- Strengths
  - Handles complexity better than rules
  - Works well when the goal is prediction/classification
- Limitations:
  - Most ML systems didn’t plan
  - Outputs often required humans or software pipelines to act on them
  - ML was “inside the product,” not “across workflows”
- Historical lesson:
  - ML helped us predict, but it didn’t autonomously execute.

Era 2.2:
Deep Learning (2012 to 2020)

- Approach
  - Extra insights from unstructured inputs
- Strengths:
  - High accuracy in perception-like tasks
  - Automation improved dramatically in specific functions
- Limitations:
  - Still not naturally interactive or goal-seeking
  - Required specialized teams and training pipelines
  - Not accessible to most knowledge workers directly
- Historical lesson:
  - Deep learning gave AI strong insights, but not conversational or agentic behavior.

Era 3:
Generative AI + LLM's (2020 to 2023)

- Approach:
  - "Language interfaces for intelligence"
- Strengths:
  - Universal interface: language becomes the API
  - Works across domains without retraining in many cases
- Limitations:
  - LLMs primarily generate responses, not completed workflows
  - They can be confident-but-wrong (hallucinations)
  - They don't inherently verify actions or outcomes
  - Practical gap that emerged:•"We can produce text faster… but the work still isn't done."
- Historical lesson:
  - GenAI scaled content creation but didn't reliably close the loop on execution.

Era 4:
Agentic AI (2023 to present)

- Approach:
  - “Goal-seeking systems that act”
- The critical change:
  - AI systems now plan steps and use external tools
  - The model becomes part of an “execution loop,” not just a “response engine”
- What agentic AI adds beyond generative AI:
  - Planning: break a goal into tasks
  - Tool use: call APIs, search databases, trigger workflows
  - Statefulness: track progress across steps
  - Verification: check whether results are correct
  - Escalation: hand off to humans when uncertainty is high

Agentic AI Unlocks

- Workflow completion
  - Not just content generation
- Consistency at scale
  - SOPs, checklists, routing
- Human oversight where it matters
  - Approvals + audits

We’ve moved from AI that answers → AI that acts

Enablers of Agentic AI

- Smarter AI
  - Models can now reason through complex, multi-step tasks
- Connected Enterprise Systems
  - AI can securely interact with enterprise applications and data
- Demand for Productivity
  - AI can coordinate work across multiple systems
- Organizations expect business outcomes
  - Shift in focus from creating to completing work

Key Characteristics of Agentic AI

Agentic artificial intelligence is an AI capability where a technological system can independently set goals, plan multi-step actions, and execute tasks with minimal human oversight by acting as a proactive "agent" rather than a reactive "tool" by understanding context, reasoning, and adapting to new information to achieve objectives

- Can act independently
- Goal directed
- Planning and decomposition
- Action-taking
- Awareness
- Adaptability

Agentic AI = Goals + Actions + Autonomy (with guardrails)

Generative AI versus Agentic AI

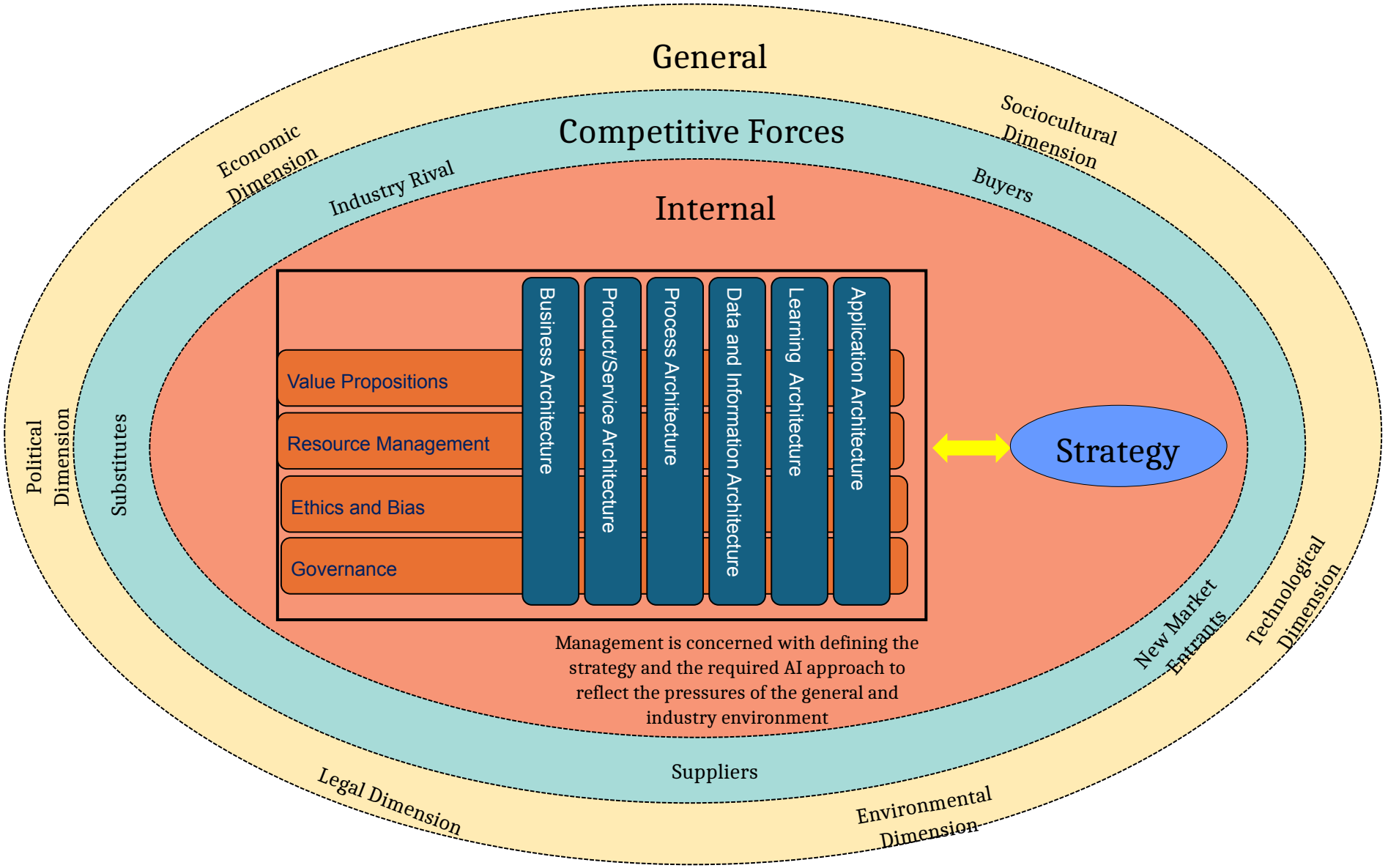
Dimension	Generative AI	Agentic AI
Primary purpose	Generate content (text, images, code)	Achieve goals by taking actions
Typical output	Answers, drafts, summaries	Completed tasks + outcomes
Core capability	Language generation	Planning + tool use + execution
Interaction pattern	Single-turn or short back-and-forth	Multi-step workflows over time
Tool use	Optional (often none)	Central (APIs, apps, databases, workflows)
Autonomy	Low—responds to prompts	Moderate to high—chooses next steps
Verification	May not verify; relies on user review	Built-in checks, validation, escalation
Risk profile	Wrong info → low direct impact	Wrong action → operational impact

The Long Arc: Positioning Agentic AI Historically

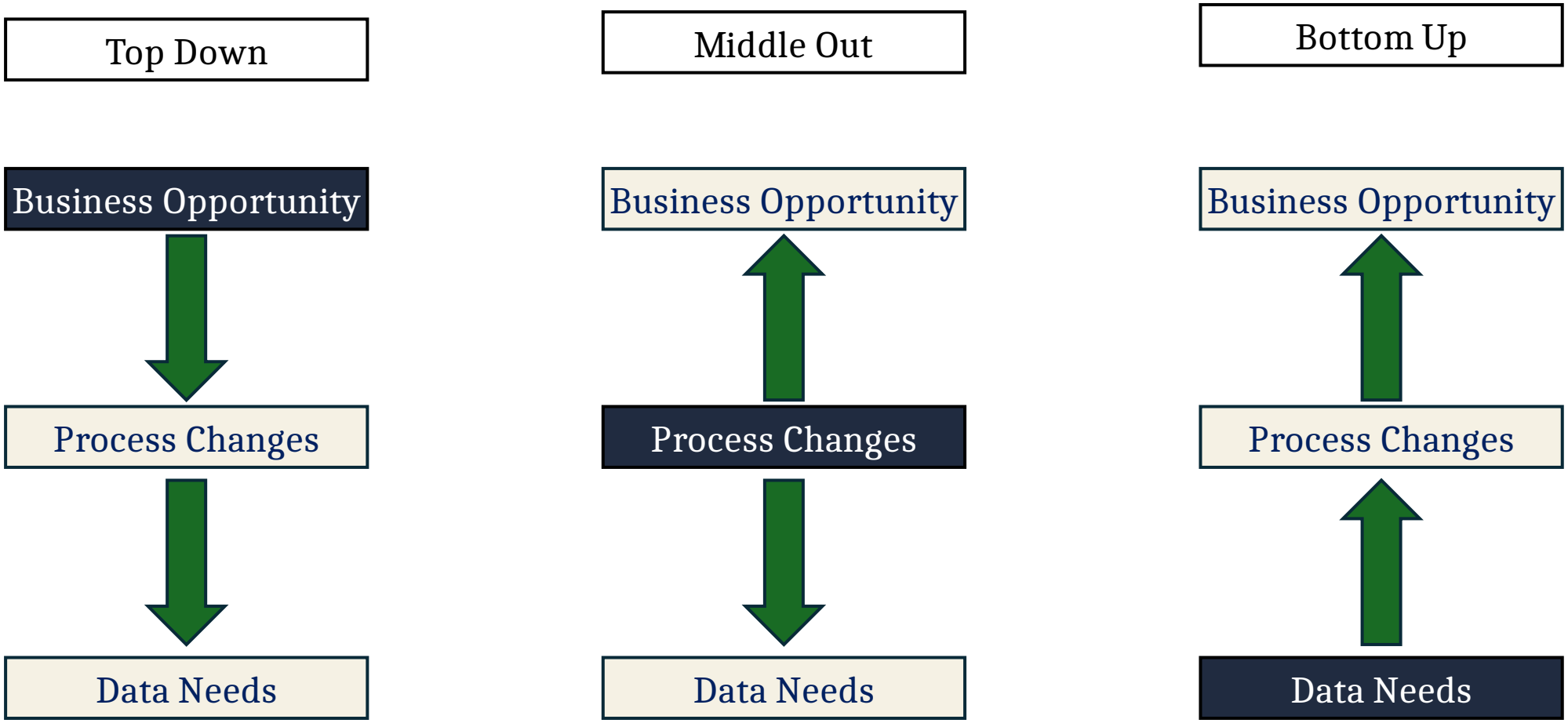
Era 1: Rules	Era 2: Learning	Era 3: Language	Era 4: Action
AI Automates Procedures	AI Automates Predictions	AI Automates Communication	AI Completes Actions

Learning Block 2
AI in the Enterprise: Connecting Strategy, People, Processes, Data, and Technology

Approaching Artificial Intelligence Strategically (LO3)

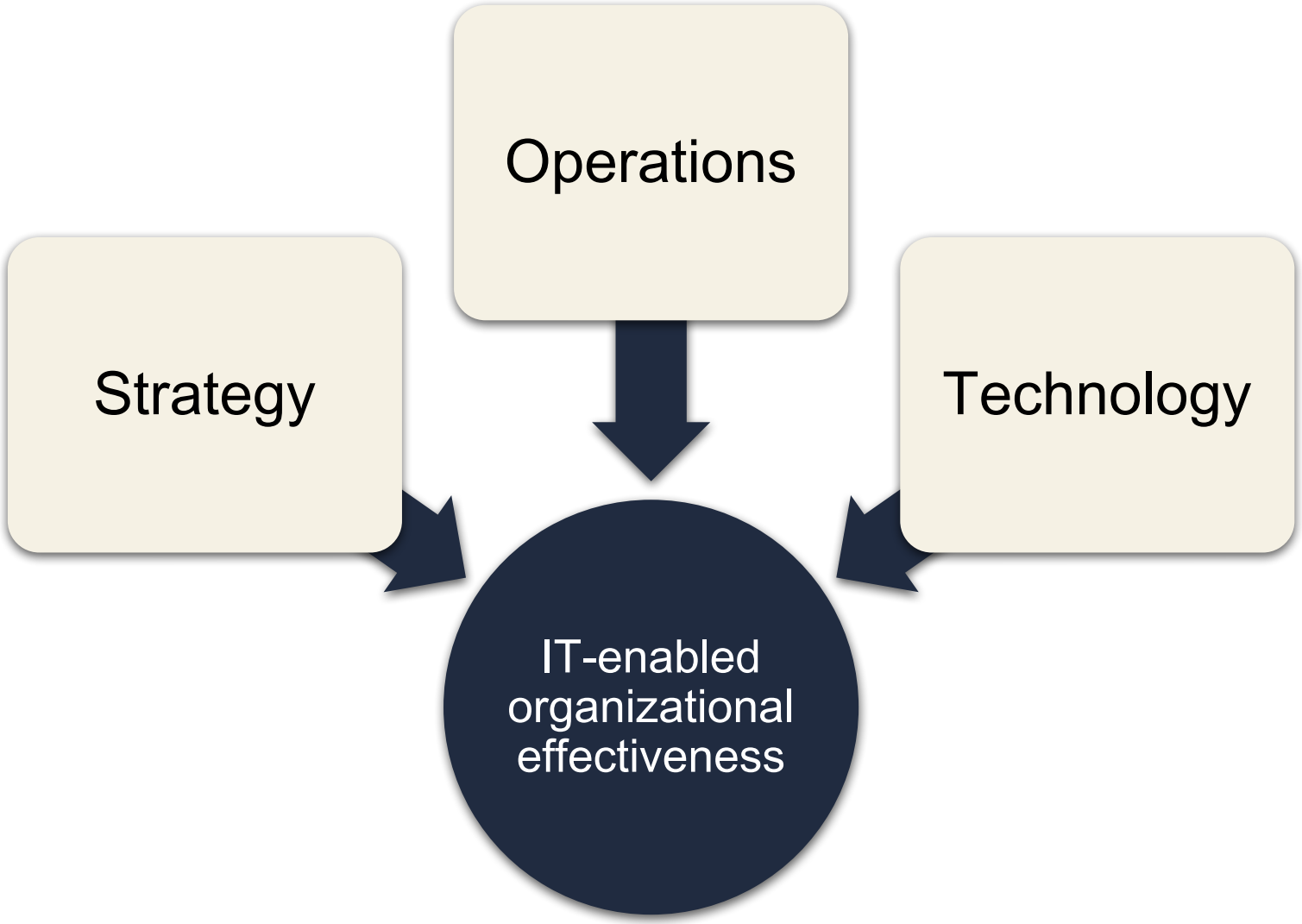

General
Economic Dimension
Sociocultural Dimension
Competitive Forces
Industry Rival
Buyers
Internal
Political Dimension
Substitutes
Value Propositions
Resource Management
Ethics and Bias
Governance
Business Architecture
Product/Service Architecture
Process Architecture
Data and Information Architecture
Learning Architecture
Application Architecture
Strategy
New Market Entrants
Technological Dimension
Management is concerned with defining the strategy and the required AI approach to reflect the pressures of the general and industry environment
Suppliers
Legal Dimension
Environmental Dimension

Identifying AI Alternatives



Value Propositions

Traditional Paradigm of IT Decision Making



Our AI Study: List of Drivers

How does the AI solution impact the cost structure of your organization?

How does the AI solution impact the well-being of your employees?

How much do your employees trust the decisions made by the AI solution?

How much of an impact will there be on the transition from human workers completing the task to the AI solution completing the same task?

How many safety brakes are present in the solution to override the decision made by the AI?

How many new insights does the AI solution provide to you over your current solution?

How much confidence do you have in the outputs of the AI solution?

How clear are the outputs of the AI solution?

What are the capabilities of the AI solution?

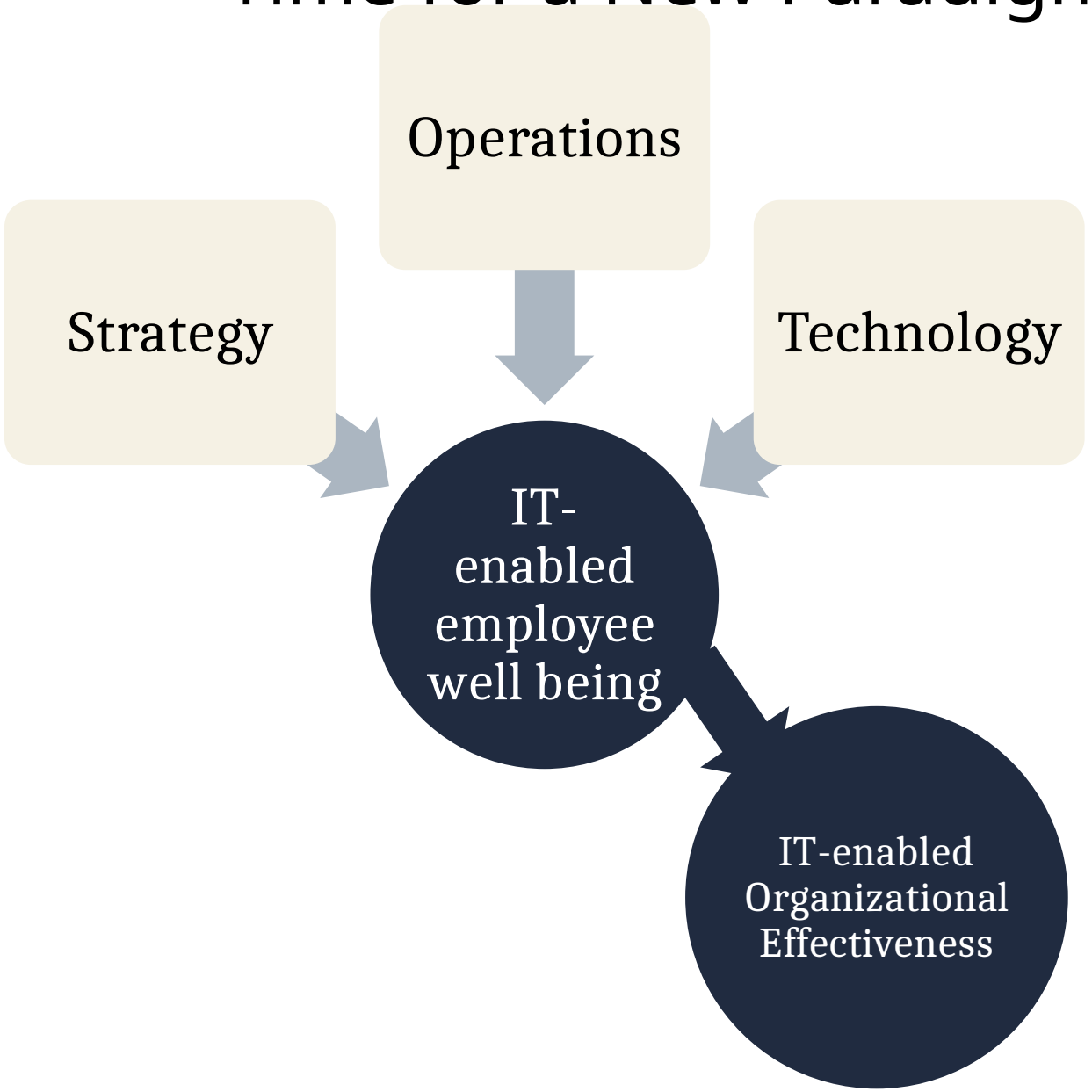
What is the functionality of the AI solution?

Our AI Study: Results

In rank order, the importance of attributes were as follows:

- The impact on the well-being of employees
- The amount of trust your employees have in the decisions made by the AI solution
- The amount of safety brakes in place to stop the AI solution, even if there will be unintended consequences
- The amount of confidence that you have in the output of the AI solution
- The functionality offered by the AI solution
- The impact on the cost of doing business
- The amount of new insights that you will gain from the new AI solution
- The ease of interpreting the output of the clarity of the AI solution
- The capabilities offered by the AI solution
- The impact on the transition from human workers completing the task to the AI solution completing the same task

Time for a New Paradigm?



Example Value Propositions for AI

Value Proposition	Description	Example Use Cases
Increased Efficiency and Automation	Automate repetitive tasks and workflows to reduce operational costs and increase productivity.	Automating data entry, AI-driven chatbots, predictive maintenance.
Data-Driven Insights	Transform raw data into actionable insights for smarter decision-making.	Market trend prediction, KPI dashboards, fraud pattern identification.
Enhanced Decision-Making	Support complex decision-making with predictive analytics and scenario modeling.	Demand forecasting, risk assessment simulations, marketing recommendations.
Personalized Experiences	Deliver hyper-personalized customer experiences at scale.	E-commerce product recommendations, adaptive learning platforms, health plans.
Improved Security and Fraud Detection	Detect anomalies and potential threats in real-time to enhance security.	Financial fraud detection, cybersecurity systems, activity monitoring.
Scalability	Enable rapid scaling of operations without a proportional increase in costs.	Dynamic cloud scaling, recruitment automation, logistics management.
Innovation and Product Development	Accelerate innovation cycles and enable the development of smarter products and services.	Drug discovery, smart home devices, AI-generated product designs.
Enhanced Creativity and Content Generation	Unlock creativity with AI-assisted content creation and ideation tools.	Marketing copy generation, video editing, AI art/music tools.
Workforce Augmentation	Empower employees with AI tools that augment their capabilities and productivity.	AI assistants for scheduling, AI tools for software developers, translation tools.
Cost Reduction	Lower operational costs by optimizing resources and minimizing waste.	Energy optimization, transportation cost reduction, retail stock management.

Which business driver creates the strongest case for changing that activity or decision—and what evidence supports your choice?

Select one: growth, cost, customer experience, workforce, risk, or better decisions.

Name one fact, observation, or consequence that supports your choice.

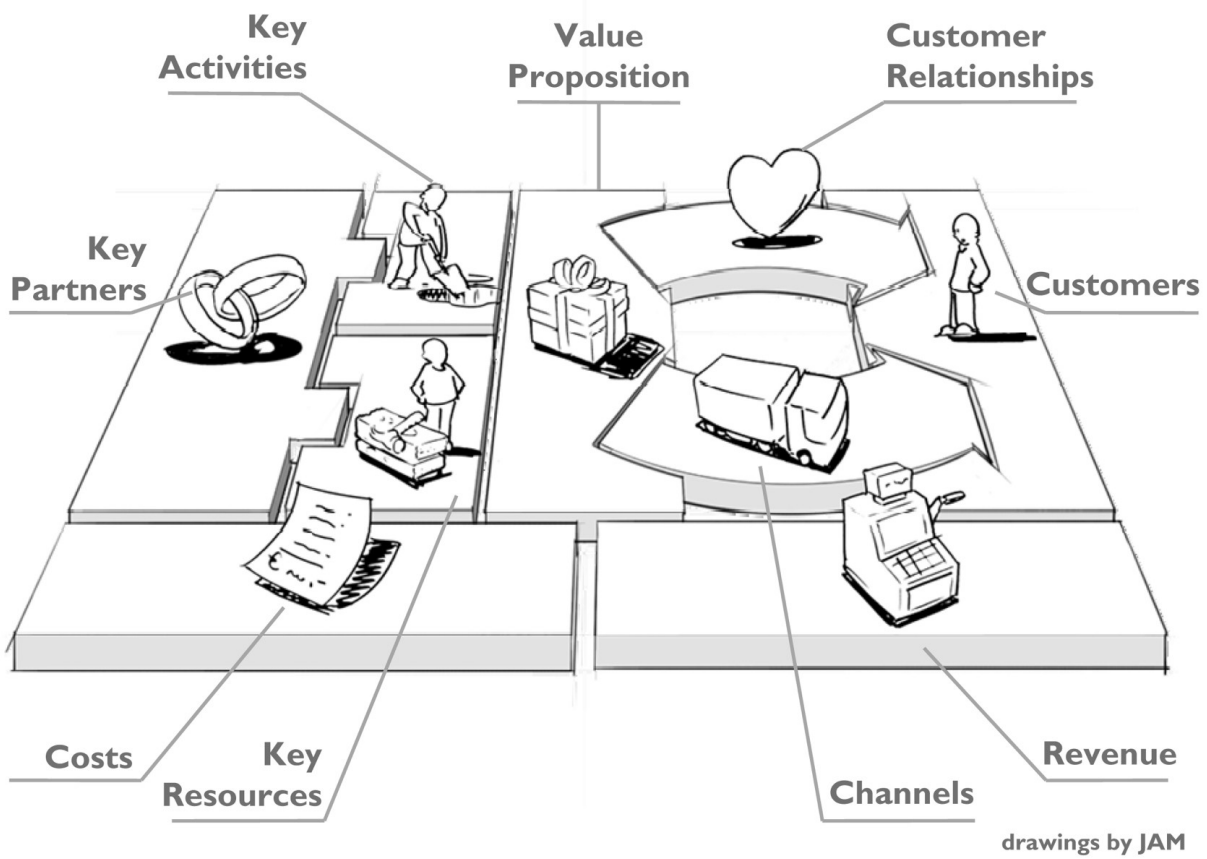
At your table, agree on the driver that matters most.

Be ready to share:
One priority business driver and one reason it matters now.

6 MINUTES

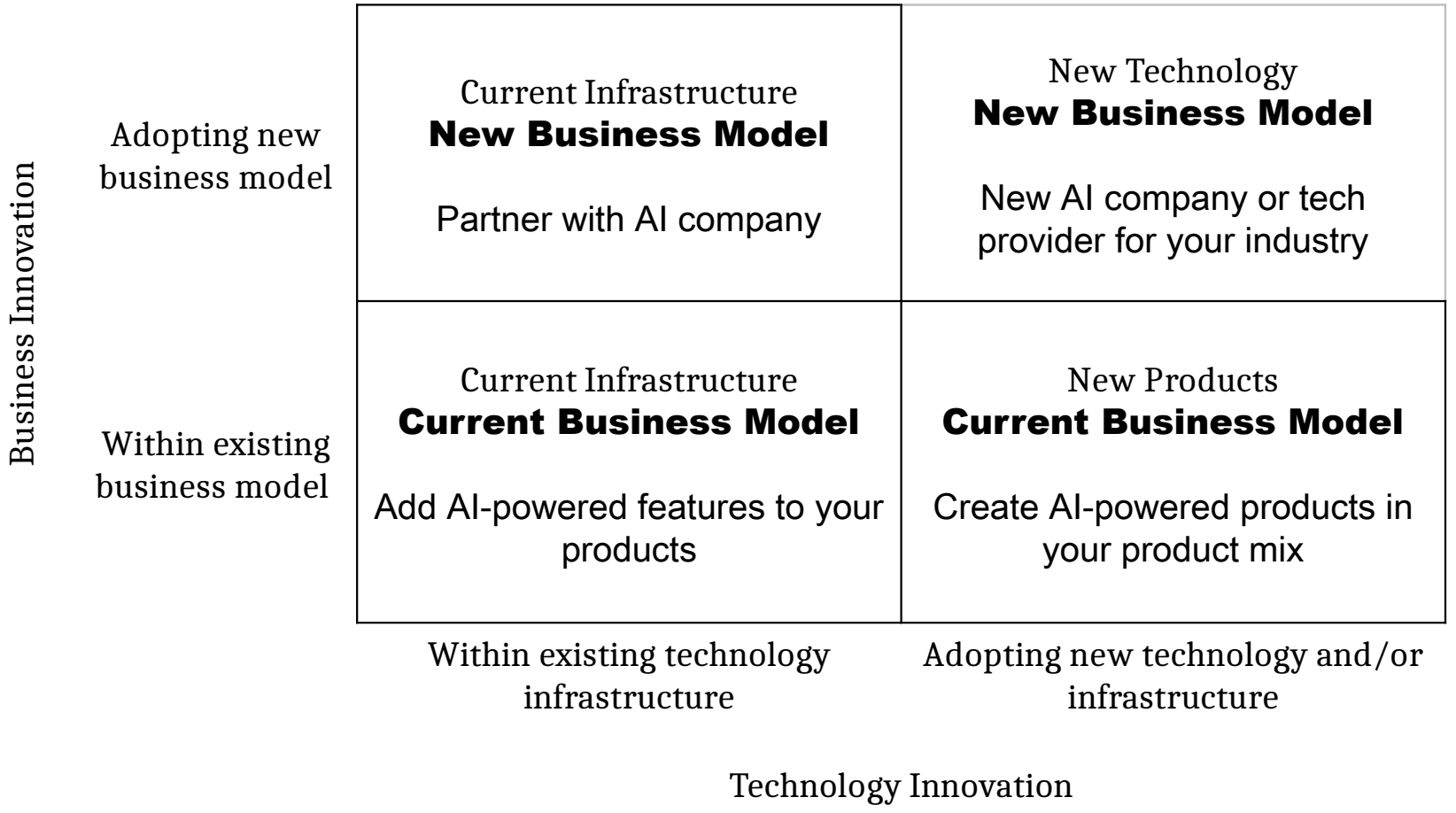
Business and Product/ Service Architecture

The Business Model Canvas



Business Model Generation By A. Osterwalder and Y. Pigneur

Strategic Alternatives for Business



Which strategic approach is the best starting point for your opportunity—and why?

Add AI to existing work, create an AI-enabled offering, partner, or build a new model.

Explain why your choice fits the organization's capabilities and ambitions.

Listen to another view. Keep or revise your original choice.

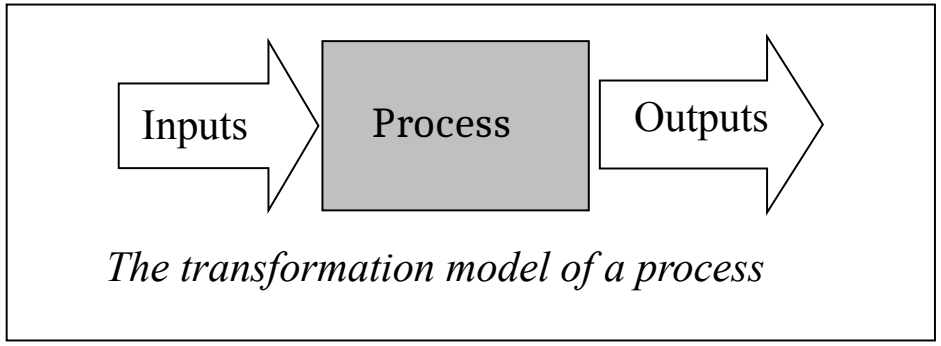
Be ready to share:
One strategic approach and the most important reason for choosing it

7 MINUTES

Process Architecture

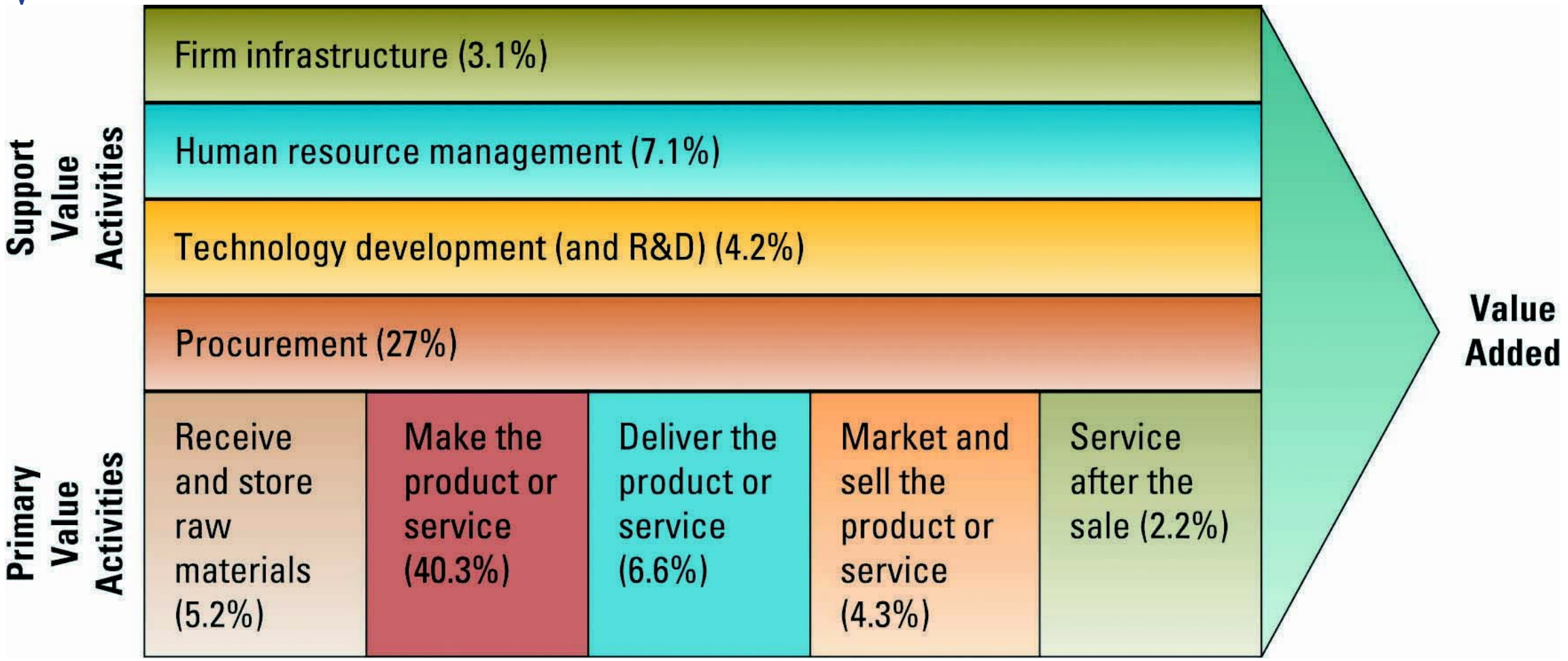
Process Architecture

- The process architecture is the collection of business processes in an organization
  - A business process is defined as a collection of related, structured activities or tasks that in a specific sequence produces a service or product (serves a particular business goal) for a particular customer or customers.
- Traditional Process definition
  - A process specifies the transformation of inputs to outputs
- Different types of transformations
  - Physical (Ex. raw material ⇒ finished product)
  - Locational (Ex. flying from Denver to L.A.)
  - Transactional (Ex. depositing money in a bank)
  - Informational (Ex. accounting data ⇒ financial statement)

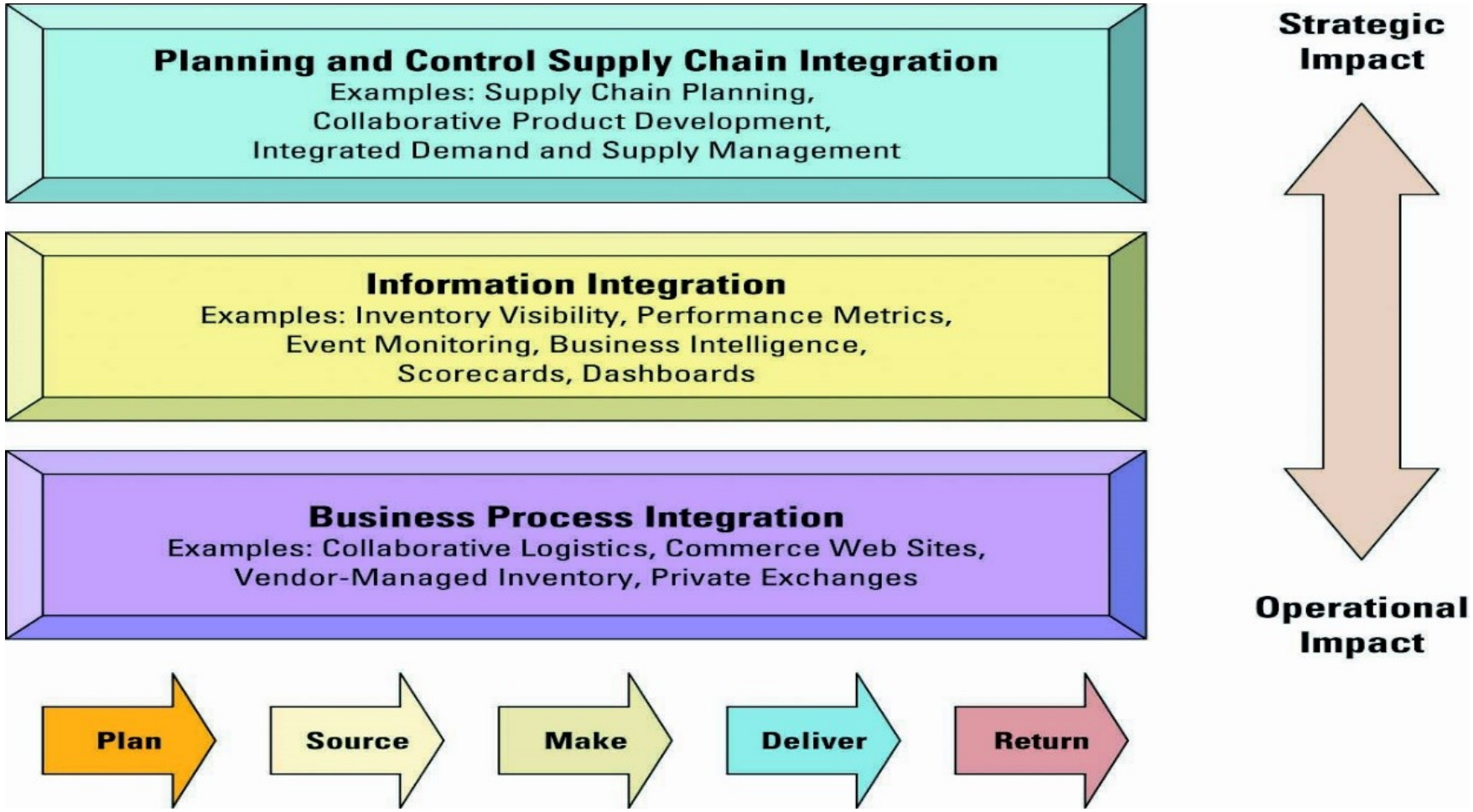


The transformation model of a process

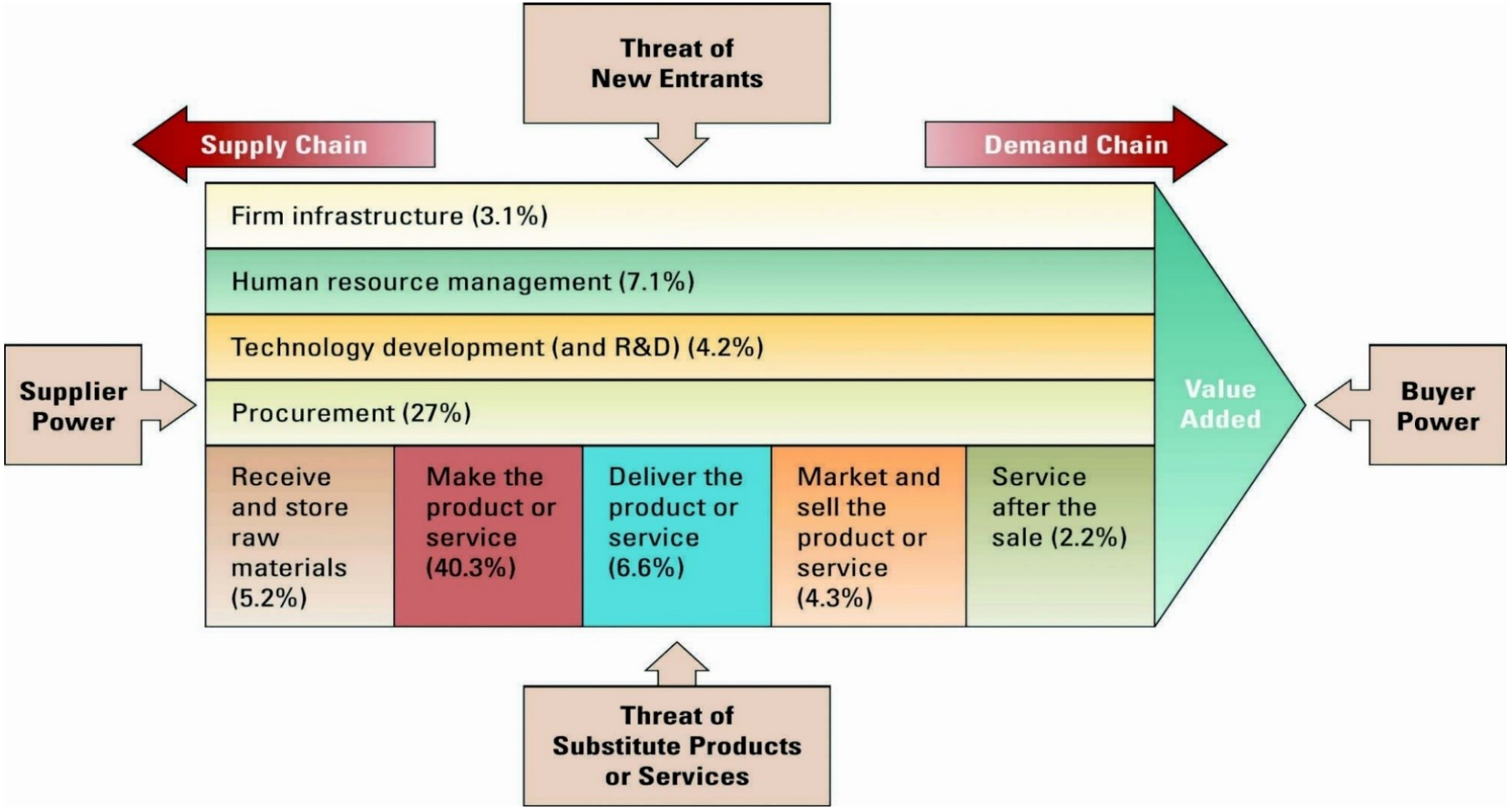
Porter's Value Chain



AI and the Supply Chain



Value Creation: Value Chain and Porter's Five Forces



Process Types and Hierarchies

- Core cross-functional processes often have highest improvement potential
  - Core processes – essential for meeting marketplace demand through a specific strategy
  - Especially high improvement potential if a significant amount of non-manufacturing/service-related activities
  - Reasons
    - Difficult to coordinate
    - Have not kept up with improvements in manufacturing
    - Difficult to detect waste and inefficiencies
    - Often as little as 5% of the time considered adding customer value
    - Customers more likely to abandon business because of “poor” service than “poor” products

Where could AI improve one step in an important workflow?

Select one workflow and identify the step that causes the most friction.

Decide how AI could automate, advise, detect, predict, or generate.

Identify one safeguard needed to prevent a poor outcome.

Be ready to share:
Process Step + AI Contribution + Necessary Safeguard

8 MINUTES

Data and Information Architecture

What is Analytics?

Analytics is the use of:

data,
information technology,
statistical analysis,
quantitative methods, and
mathematical or computer-based models

to help managers gain improved insight about their business operations and

make better, fact-based decisions.

Importance of Analytics

There is a strong relationship of BA with:

Profitability of businesses

Revenue of businesses

Shareholder return

Enhances understanding of data

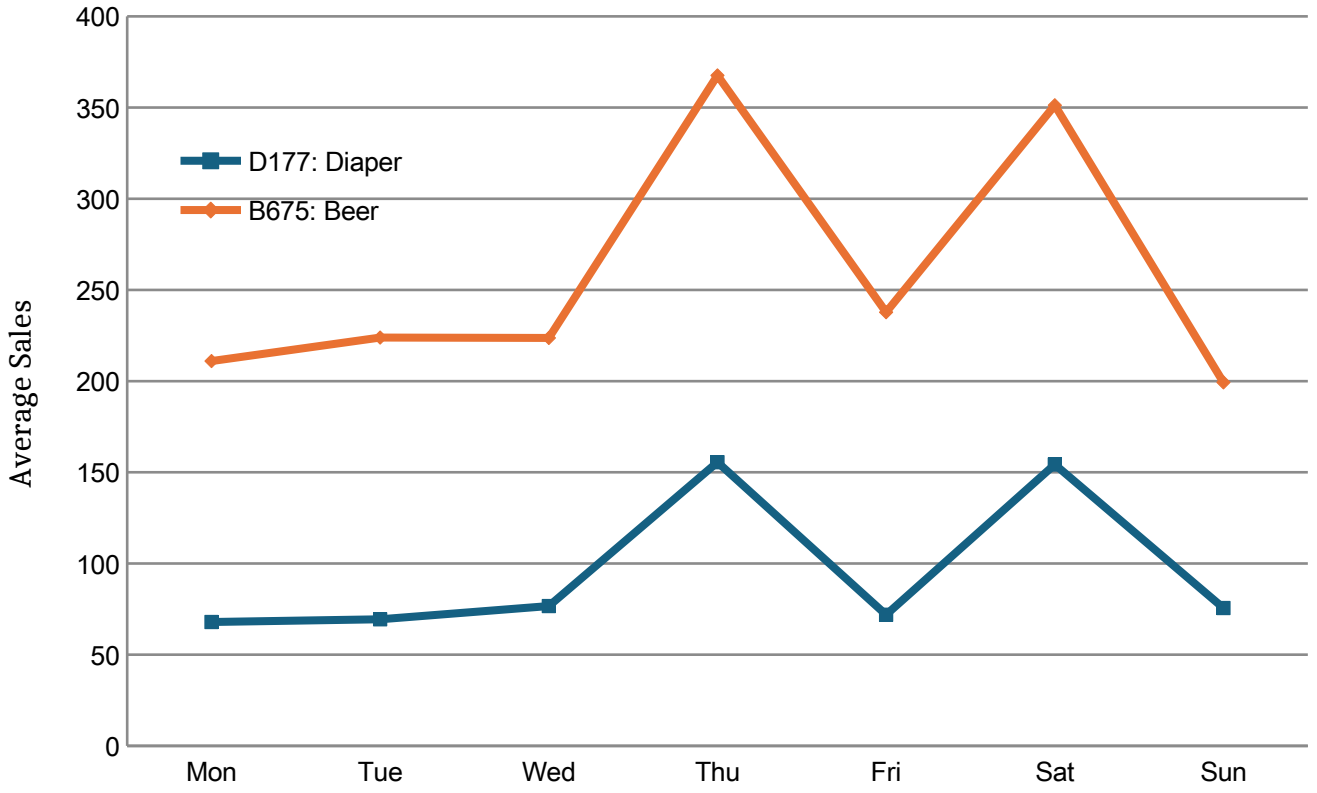
Vital for businesses to remain competitive

Enables creation of informative reports

Famous “Beer and Diapers” example

C	D	E	F	G	H
Date	Day	SKU-1	Units Sold-1	SKU-1	Units Sold-2
1/9/10	Tue	D177	59	B675	202
3/1/10	Thu	D177	124	B675	361
1/30/10	Tue	D177	60	B675	180
1/27/10	Sat	D177	168	B675	306
2/22/10	Thu	D177	161	B675	422
3/2/10	Fri	D177	59	B675	151
2/5/10	Mon	D177	70	B675	168
1/5/10	Fri	D177	73	B675	224
2/23/10	Fri	D177	97	B675	279
2/28/10	Wed	D177	76	B675	198
3/4/10	Sun	D177	97	B675	179
1/6/10	Sat	D177	137	B675	341
2/18/10	Sun	D177	54	B675	200
1/26/10	Fri	D177	50	B675	203
1/14/10	Sun	D177	73	B675	298
1/25/10	Thu	D177	149	B675	288
1/11/10	Thu	D177	165	B675	319
2/3/10	Sat	D177	182	B675	420
2/2/10	Fri	D177	56	B675	291
2/17/10	Sat	D177	139	B675	293
1/7/10	Sun	D177	68	B675	210

What did managers learn? That beer & diapers are often bought by men on Thursday and Saturdays. But, Why?



Types of Analytics



Descriptive

Reviewing and examining the data set(s) to understand the data and analyze business performance.



Diagnostic

What has happened and why



Predictive

Analyzing current and historical data to determine what is most likely to (not) happen



Prescriptive

Developing and analyzing alternatives that can become courses of action

Descriptive Analytics

Using data to figure out what happened in the past

Examples

- Dashboards
- Reports (sales, revenues, etc)

Process of use

- Identify the attributes, then assess/evaluate the attributes
- Estimate the magnitude to correlate the relative contribution of each attribute to the final solution
- Accumulate more instances of data from the data sources
- If possible, perform the steps of evaluation, classification and categorization quickly

Diagnostic Analytics

Extract patterns from large data quantities via data mining

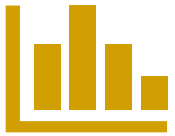
Correlate data types for explanation of near-term behavior – past and present

Estimate linear/non-linear behavior not easily identifiable through other approaches.

Example

By classifying past insurance claims, estimate the number of future claims to flag for investigation with a high probability of being fraudulent.

Predictive Analytics



Using data to find out what could happen in the future



Uses the understanding of the past to make “predictions” of the future



Process of use

Choose the right data based on domain knowledge and relationships among variables

Choose the right techniques to yield insight into possible outcomes

Determine the likelihood of possible outcomes given initial boundary conditions

Prescriptive Analytics



Using data to prescribe the best course of action to increase the chances of achieving the best outcome (i.e. optimization)



Process

Determine what should occur and how to make it so

Determine the mitigating factors that lead to desirable/undesirable outcomes

“What-if” analysis w/ local or global optimization

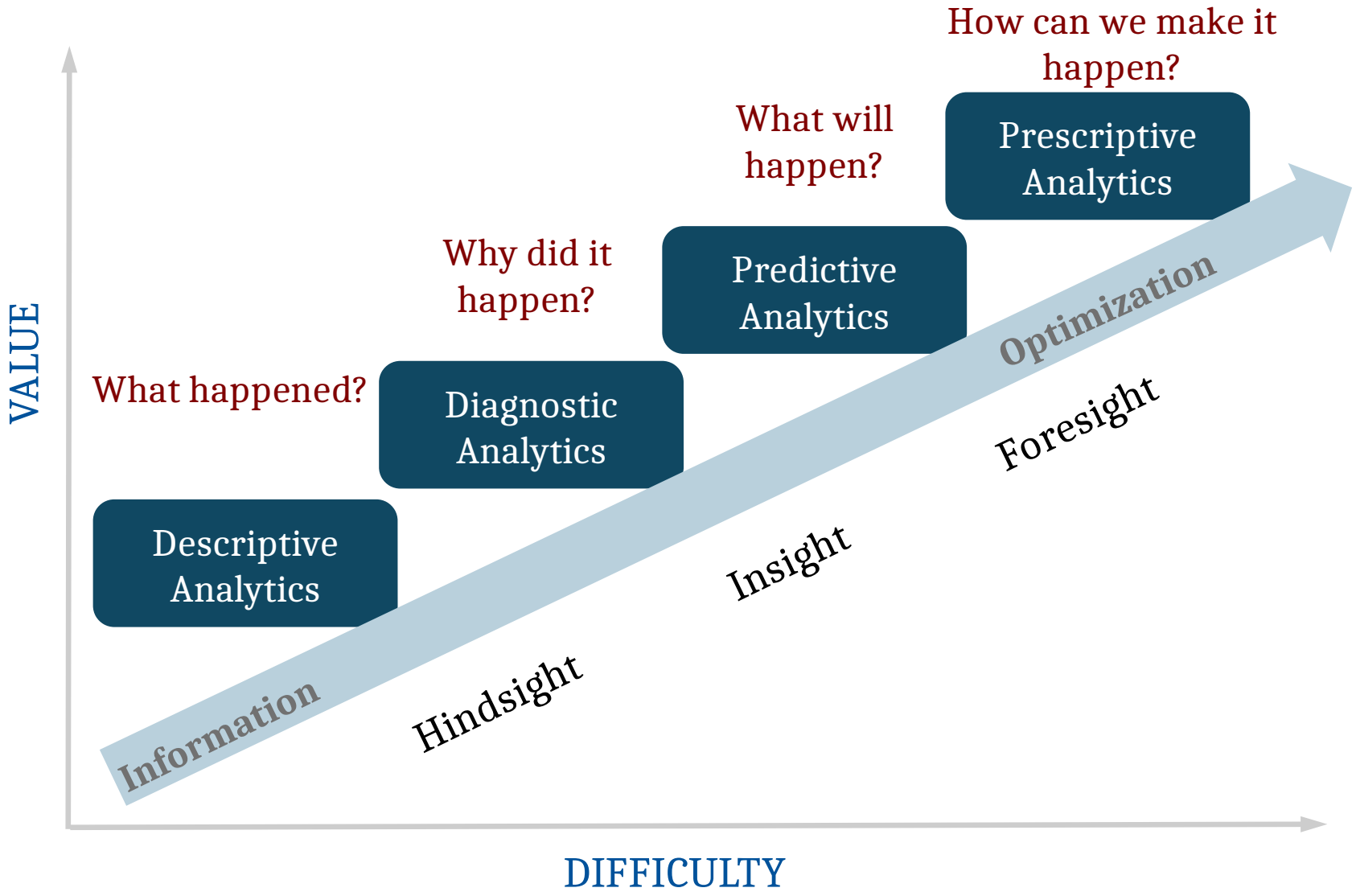


Examples

Find the best set of prices and advertising frequency to maximize revenue

Right set of business moves to make to achieve that goal

Analytics Models



Analytics vs. AI

Analytics Alone	Analytics plus Artificial Intelligence
Automated tool to gain insights approach	Autonomous in that A.I. produces decisions
Utilized only historical data points to learn only at the pace of time	Runs simulations to create all future possible data points to learn faster than the pace of time
An entrenched base of costly legacy users	Catalyst for industry-wide disruption
Costly hardware, software licenses, and/or consultation business model	SaaS delivery – leverages decreasing cost and increasing capacity of computing
Often created to perform a specific task(s) – no ability to examine the effects across the entire retailer's "ecosystem" in the immediate here and now only	Looks at relationships between promotions and products and their net effect on sales across the total assortment over the long term
Constrained/governed by strict, static models – looking at subsets of data in predefined models. Does not factor in ripple effects	Able to holistically examine very large, rapidly changing data sets across a large set of variables. Measures all ripple effects
Likely may utilize machine learning in that it adjusts based on new limited data sets based only on the historical information available	Can self-adjust without human intervention and change underlying algorithms based on vast new simulated data inputs to find the optimal outcome

What decision would you like to improve, and what data would AI need to help improve it?

State the decision and the improvement you want to achieve.

List the internal and external data that could inform the decision.

Ask whether the data is available, reliable, governed, and permitted.

Be ready to share:
Decision + required data + most important data gap or risk.

7 MINUTES

Learning Architecture

Types of Learning



Supervised learning

Give system labeled training data
System learns rules that can map new inputs to correct output
Used for classification and for regression

Unsupervised learning

Give system unstructured data
System asked to discover structures and patterns in the data
Used for clustering based upon similarity



Semi-supervised learning

Between supervised and unsupervised
System looks for structures and patterns (unsupervised) and then asks the user if the pattern is correct (supervised)

Reinforcement learning

Learning by trial-and-error
Program takes action, measures feedback, and iteratively improves
Used for game-playing and robotics

Application Architecture

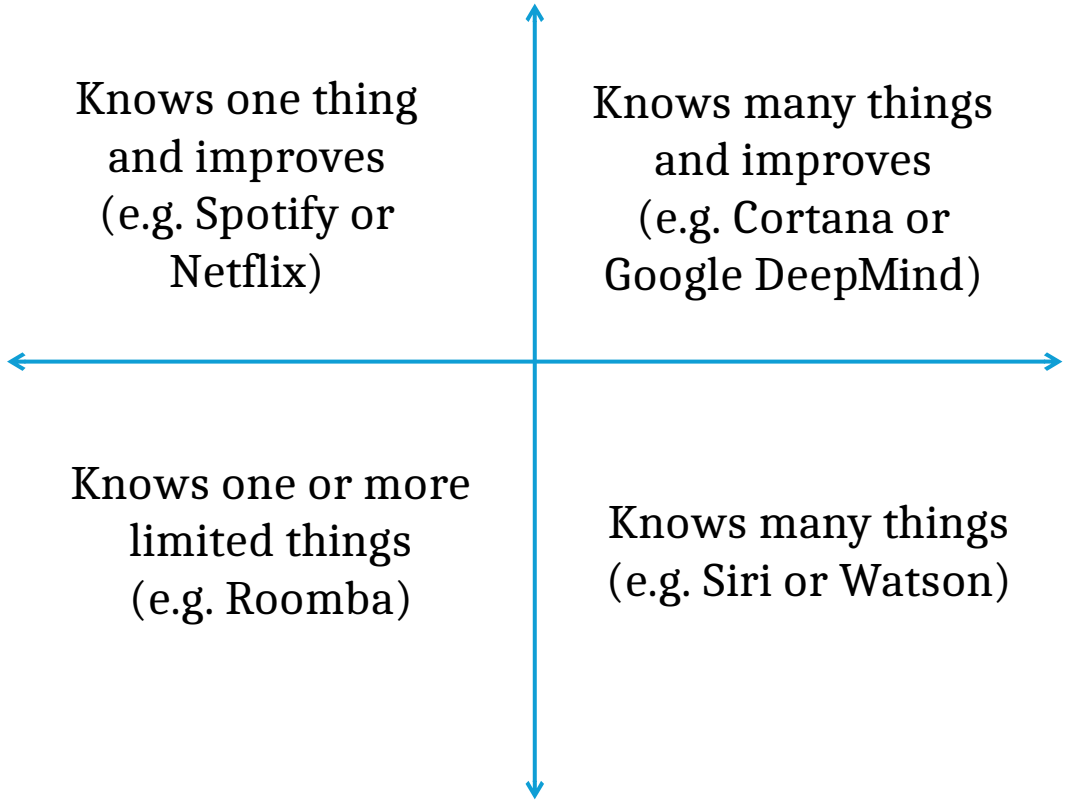
Categorizing Types of AI

Strong AI
Self-improves through Machine Learning based upon experience

Narrow AI
Built to perform limited, specific tasks

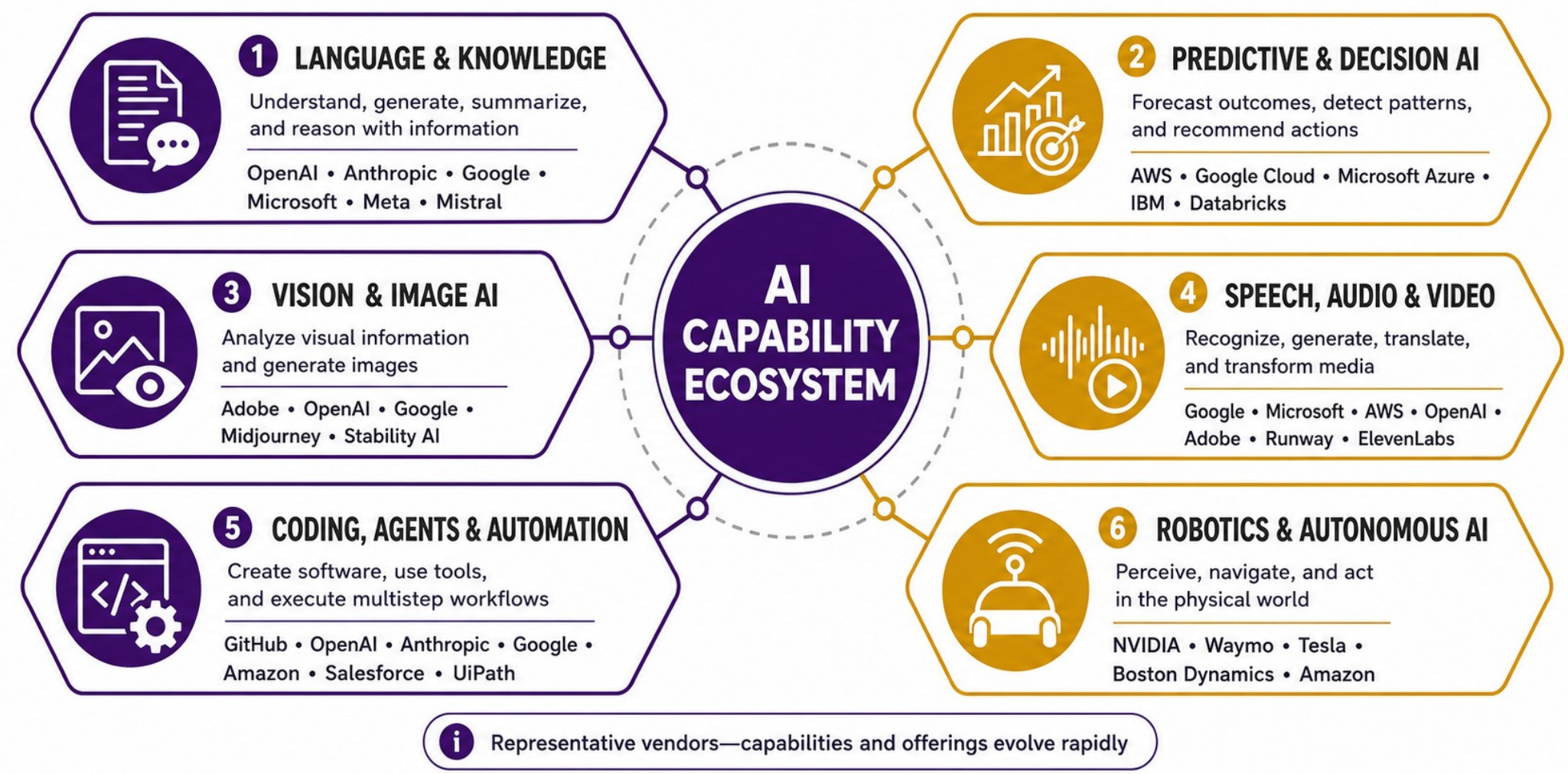
Broad AI
Systems that can be applied to many contexts

Weak AI
Executes tasks within a rules-based programmed domain



Courtesy of AMP New Ventures

The AI Capability Ecosystem



Application Block 1:
AI Leadership Readiness Assessment

Readiness links AI Capability to Organizational Execution

UNDERSTAND AI

Capabilities • limitations • evolution

ALIGN THE ENTERPRISE

Strategy • process • data • technology

LEAD ADOPTION

Governance • people • priorities • accountability

The assessment asks whether these three layers are moving together.

This Cohort is Already Using AI

7 of 10

use AI at least daily
(2 did not answer)

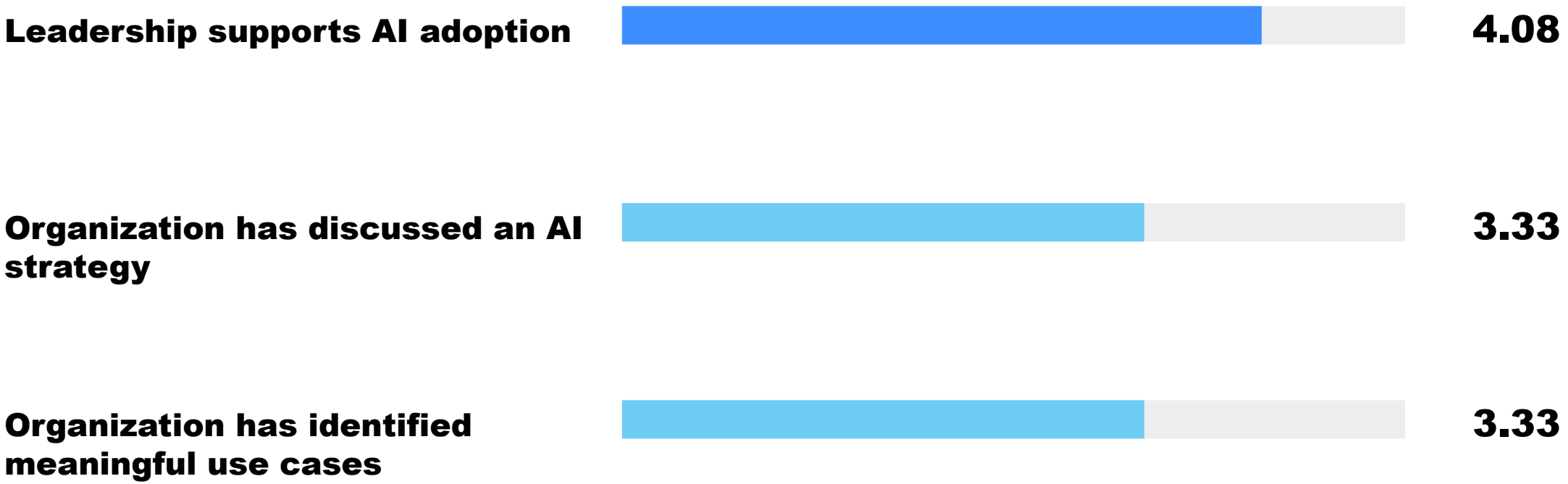
10 of 12

have used ChatGPT

9 of 12

have used Claude

Tension 1: Leadership Support has not yet become strategy



Support creates permission. Strategy creates direction.

Average agreement on a 1–5 scale

What keeps leadership support from becoming a clear AI strategy?

Choose the strongest barrier: ownership, knowledge, priorities, resources, risk, or another cause.

Ask whether the barrier is primarily strategic, organizational, or technical.

Identify one leadership move that would reduce the barrier.

Be ready to share:
One barrier + One leadership response

3 MINUTES

Tension 2: Opportunity is Outpacing Governance

PERCEIVED BUSINESS OPPORTUNITY

4.49

Top: employee productivity 4.83
Operations and executive decisions 4.67 each

AI GOVERNANCE READINESS

3.25

Lowest: governance discussion 2.92
Intellectual property understanding 3.00

Adoption can move faster than the guardrails needed to sustain it.

Composite averages on a 1–5 scale

Which guardrail is most urgent for your organization right now?

Select one: approved tools, data rules, human review, intellectual property, accountability, or training.

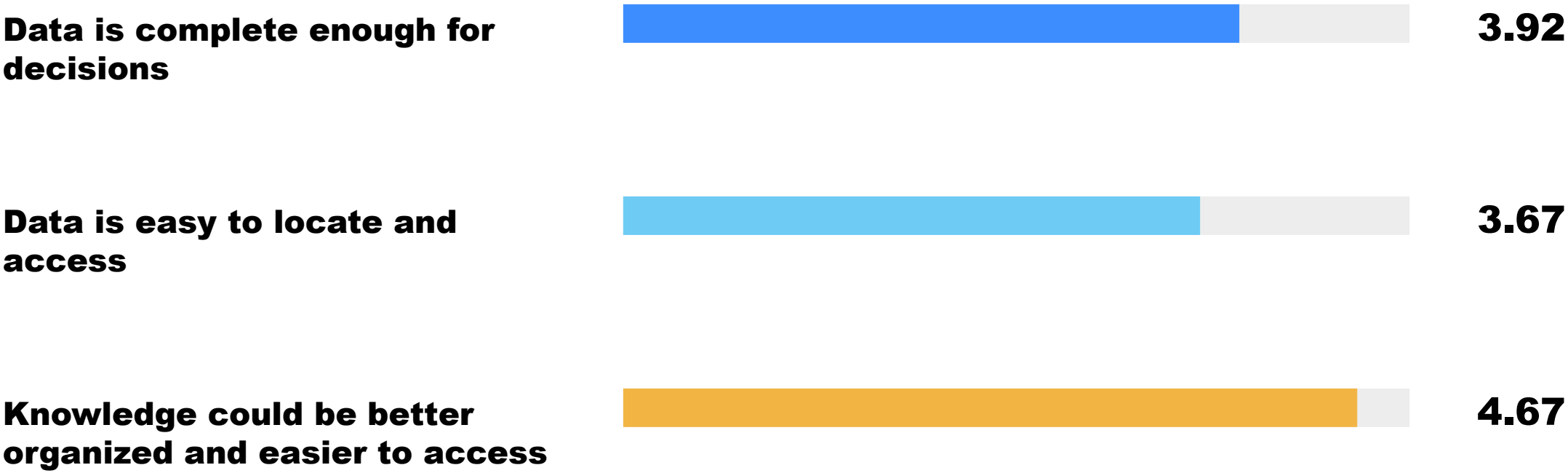
Describe the behavior or risk the guardrail should address.

Define the smallest useful first version—not a perfect policy.

Be ready to share:
One priority guardrail and the first practical step

3 MINUTES

Tension 3: Data confidence coexists with information friction



11 of 12 agreed that knowledge could be better organized and easier to access.

The problem may be less about having data—and more about connecting it to work.

Average agreement on a 1–5 scale

Where does useful information break down between creation and action?

Choose one report, document, or decision and trace where its information originates.

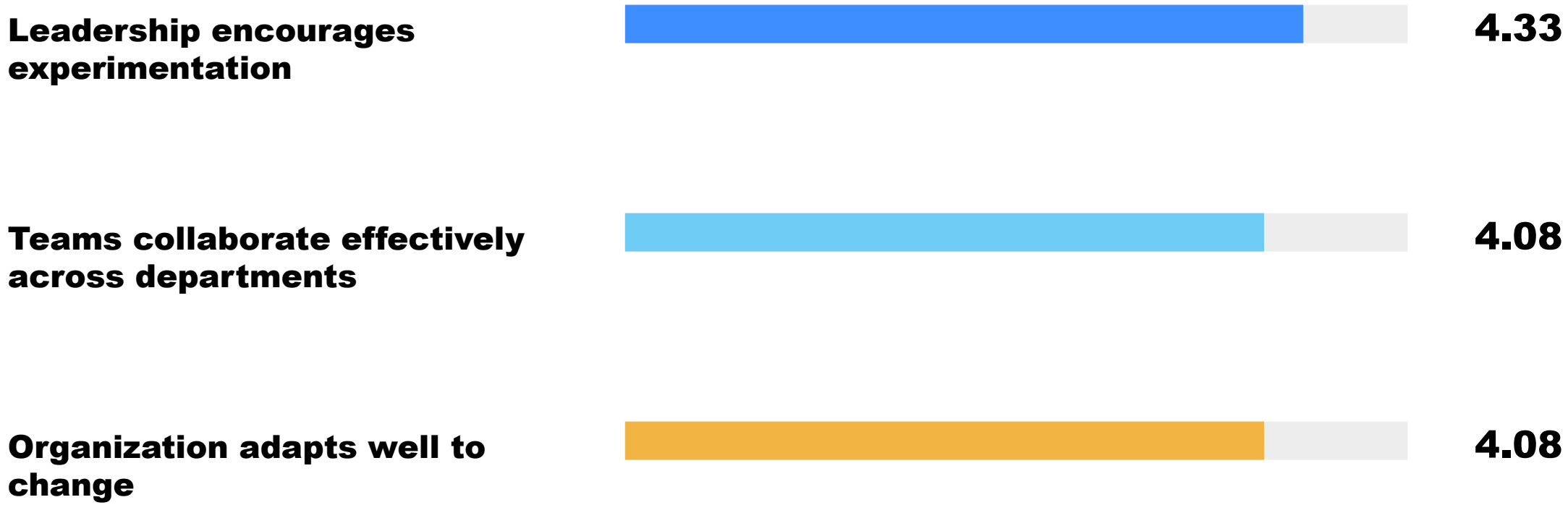
Identify the biggest breakdown: quality, access, integration, ownership, or workflow.

Choose the one breakdown AI cannot solve by itself.

Be ready to share:
One information bottleneck and the non-AI condition needed to address it.

3 MINUTES

Tension 4: Experimentation does not guarantee adoption



Respondents cited training, time, and buy-in as barriers.

A successful pilot proves the tool. Adoption changes how people work together.

Average agreement on a 1–5 scale

What would make employees trust and adopt an AI-enabled way of working?

Identify the employee concern leaders must take seriously.

Choose one adoption condition: involvement, training, transparency, support, measurement, or safeguards.

Name the behavior leaders must model consistently.

Be ready to share:
One employee concern + one adoption condition + one leadership behavior.

3 MINUTES

Which readiness gap deserves leadership attention first?

Choose one: strategy, governance, information architecture, or change readiness.

Write one action leaders could begin within the next 30 days.

Agree on one table priority and one action to share.

Be ready to share:
“Our first priority is ___; within 30 days, leadership can ___.”

4 MINUTES

The Readiness Question

Can we turn AI interest into repeatable business value?

Understand the capability.

Align the enterprise.

Lead the adoption.

Readiness is not a score—it is a leadership agenda.

Application Block 2:
From Business Challenge to AI Opportunities

The conversation produces one stronger AI opportunity

Choose a real business activity or decision

Examine it through the lens of your organization.

Use peer feedback to improve the idea.

Identify what still needs to be resolved.

Be ready to share:
An AI Opportunity Statement you can develop further this afternoon

4 MINUTES

Where might AI improve a real activity, process, or decision in your organization?

“AI may help our organization improve _____, resulting in _____.”

Be specific enough that another participant can picture the work and recognize the intended business outcome.

5 MINUTES

Help every participant strengthen one opportunity

BUSINESS VALUE	What problem or outcome makes it worth pursuing?
PROCESS	Where would AI enter the workflow?
DATA	What information would it require?
LEADERSHIP	What decision must remain human?
READINESS	What condition could prevent success?

3 minutes each: 1 minute to explain • 1 minute for questions • 1 minute for observations

15 MINUTES

Which opportunity generated your table’s most useful discussion?

- Describe the opportunity
- Explain the potential business value
- Identify the biggest readiness challenge
- State the unresolved question

Notice recurring opportunities, shared readiness barriers, and questions that apply across industries.

12 MINUTES

My AI Opportunity Statement

The opportunity I want to examine further is _____.

The business outcome that matters is _____.

The question I still need to answer is _____.

A stronger question is the first step toward a stronger AI opportunity.

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AI ACADEMY

Lunch Break

SESSION 1 | SESSION 2 | SESSION 3 | SESSION 4 | SESSION 5

Dr. Andrew Schwarz

Lesson Block 3:
Evaluating AI Tools and Strategies

Evaluating AI Options (LO4)

Where Today’s AI Is Strong

- Synthesis and creation
  - Summarizes complex information, produces drafts, and generates useful alternatives quickly
- Pattern recognition
  - Finds patterns across text, images, and data; extracts and organizes information from documents.
- Scale and accessibility
  - Automates repeatable knowledge work, explains ideas at different levels, and makes knowledge easier to use.

Where Today's AI Still Struggles

- Truth and Evidence
  - Can produce fluent, confident answers that are incomplete, unsupported, or wrong.
- Context and Judgment
  - May miss organizational history, relationships, politics, and the significance of what is not stated.
- Responsibility
  - AI does not understand consequences as people do, cannot accept accountability, and requires stronger review as stakes increase.

Choose the Platform for the Work—not the Hype

Task fit

Match the platform to the work: research, writing, analysis, coding, content, or automation.

Information fit

Consider current information, internal knowledge, source citation, and document-handling needs.

Enterprise fit

Evaluate integration with the systems where employees already work and where data already lives.

Risk fit

Compare privacy, security, administration, retention, access controls, and required human review.

Major AI Platforms Have Different Orientations

ChatGPT
Broad general-purpose work
Research, analysis, writing, data, coding, and connected apps

Claude
Sustained knowledge work
Long documents, careful writing, analysis, and coding

Google Gemini
Google-centered work
Workspace content, research, documents, email, and meetings

Microsoft 365 Copilot
Microsoft-centered work
Word, Excel, PowerPoint, Outlook, Teams, and SharePoint

Specialized tools
Focused capabilities
Research, images, meetings, legal work, and workflow automation

The right choice
Depends on the task
Data environment, integration, governance, cost, and risk

The Model Matters—but the System Matters More

Business problem

Start with a valuable problem, a defined user, and a clear outcome—not with the technology.

Data and context

Results improve when the AI has accurate, relevant, accessible, and appropriately governed information.

Workflow and people

Value appears when AI is embedded into real work and employees know how to use and evaluate it.

Governance and measurement

Controls, accountability, adoption, and measurable outcomes turn experimentation into capability.

Why AI Is Becoming a Strategic Business Capability

Performance

AI can change the cost, speed, consistency, and quality of work across business functions.

Knowledge

It can make organizational information easier to find, synthesize, share, and apply.

Innovation

It enables new products, services, customer experiences, and ways of operating.

Competition

Advantage comes from combining AI with distinctive processes, data, talent, and leadership—not access alone.

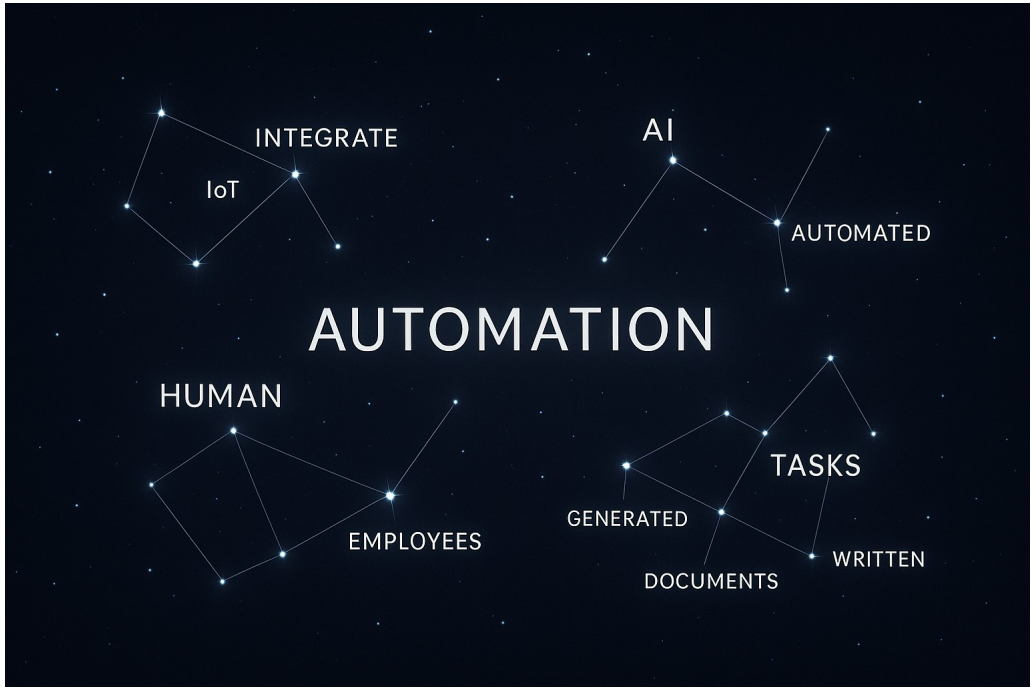
Five Archetypes of the AI-Enabled Organization

- Automation-First
- Knowledge & Analytics Copilot
- Personalized Service Enhancer
- AI Platform Builder
- Human-AI Symbiosis



Archetype #1: The Automated Organization

Participant examples were shared in the room.



Archetype #2: Knowledge and Analytics Copilot

Participant examples were shared in the room.



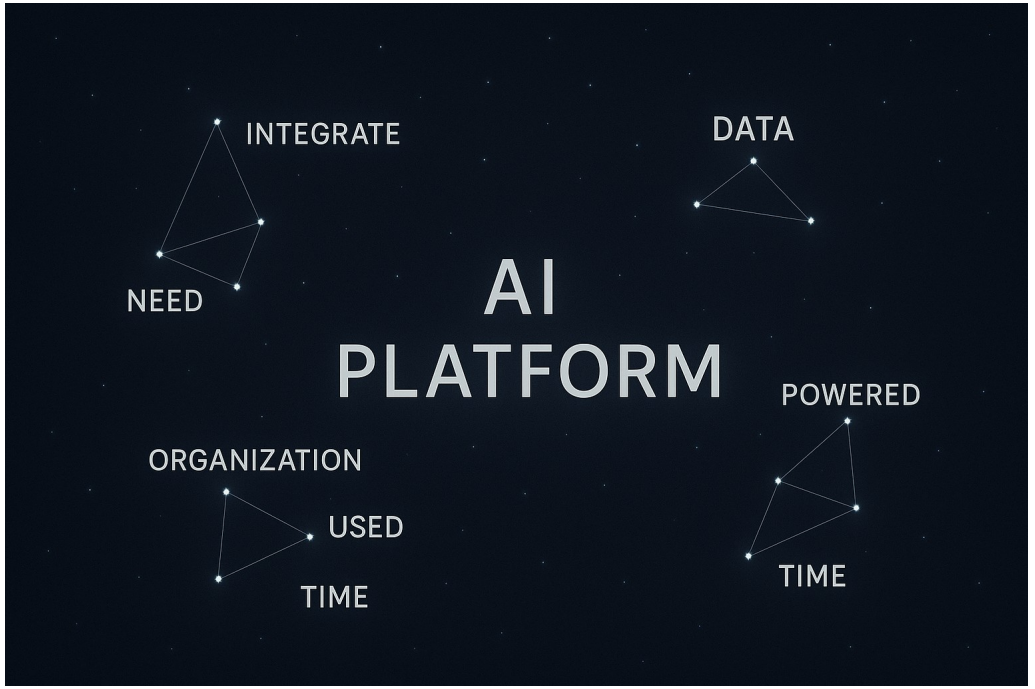
Archetype #3: Personalized Service Enhancer

Participant examples were shared in the room.



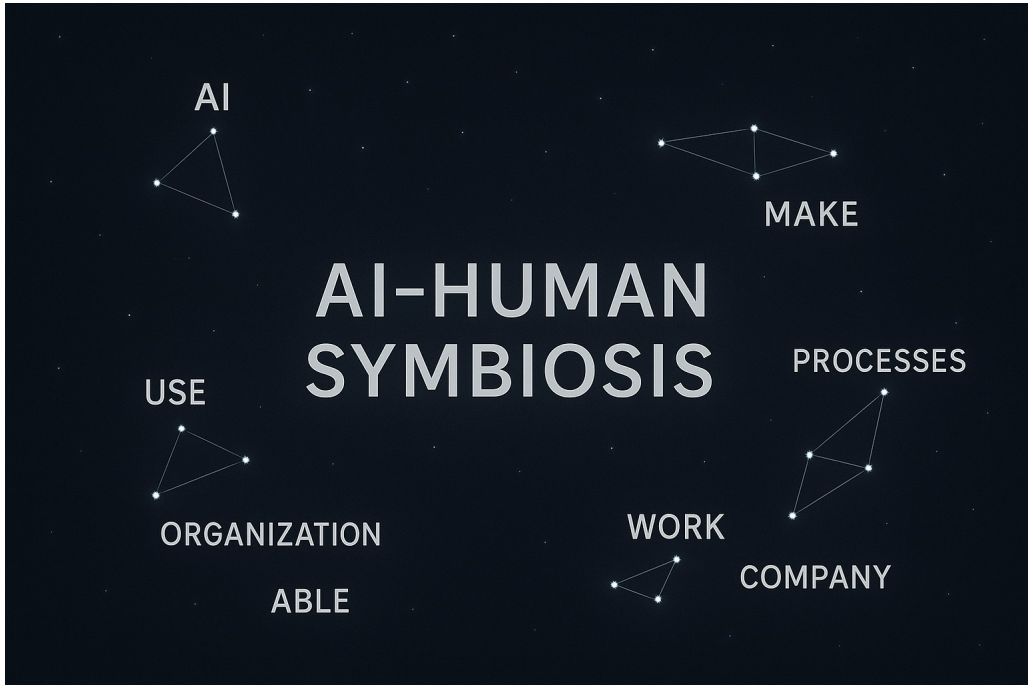
Archetype #4: AI-Integrated Platform

Participant examples were shared in the room.

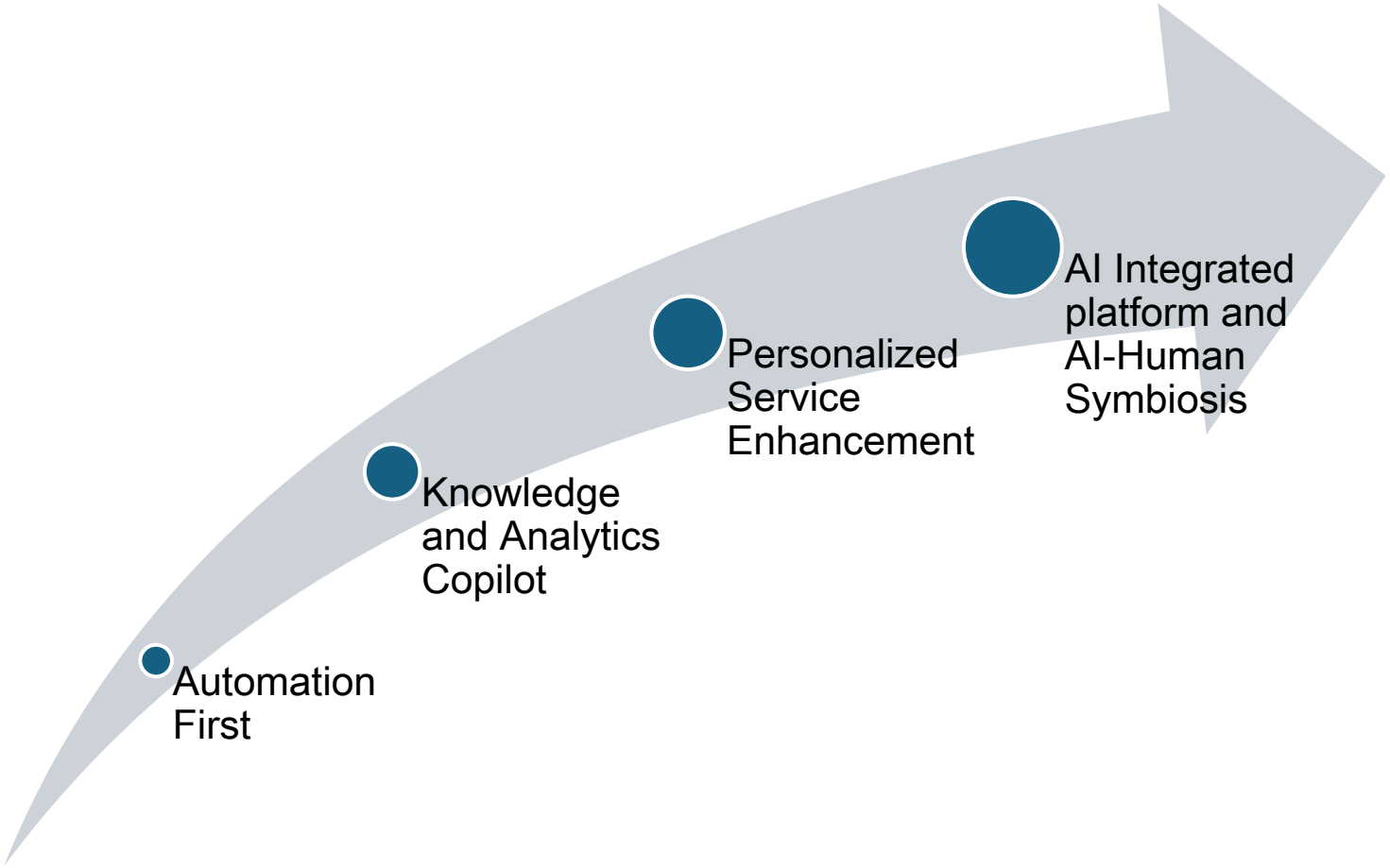


Archetype #5: AI-Human Symbiosis

Participant examples were shared in the room.



Predicted AI Evolution of Archetypes

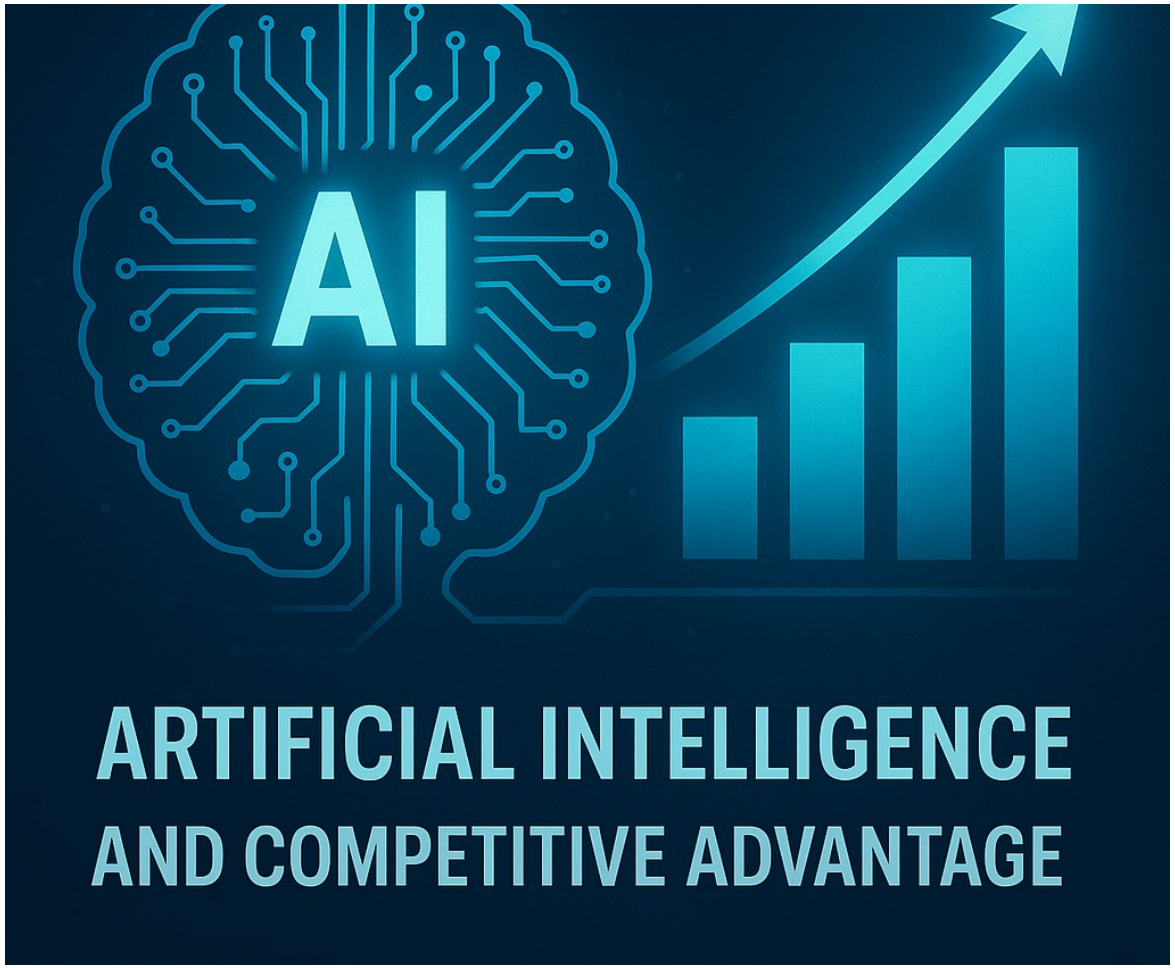


Single versus Multiple-Archetype Pursuit

Dimension	Single-Archetype Pursuit	Multiple-Archetype Pursuit
Typical Context	Small/medium organizations with limited resources; early AI adopters	Large, complex, or mature organizations; AI seen as strategic enabler
Focus	One dominant priority (e.g., cost reduction, analytics, or customer experience)	Broad integration across multiple business functions
Advantages	• Clear priorities • Faster execution • Simpler governance	• Greater resilience • Unlocks synergies between functions • Accelerates innovation
Risks	• Narrow benefits • Risk of obsolescence • Limited organizational learning	• Higher complexity • Costly to coordinate • Cultural and change-management challenges
Adoption Path	Typically a **stepwise entry**: start with Automation or Analytics	Often **parallel adoption**: mix of Automation, Analytics, and Service; evolving toward Platform + Symbiosis
Best Fit	Organizations seeking **quick wins** and proof of value	Organizations pursuing **enterprise-wide transformation**

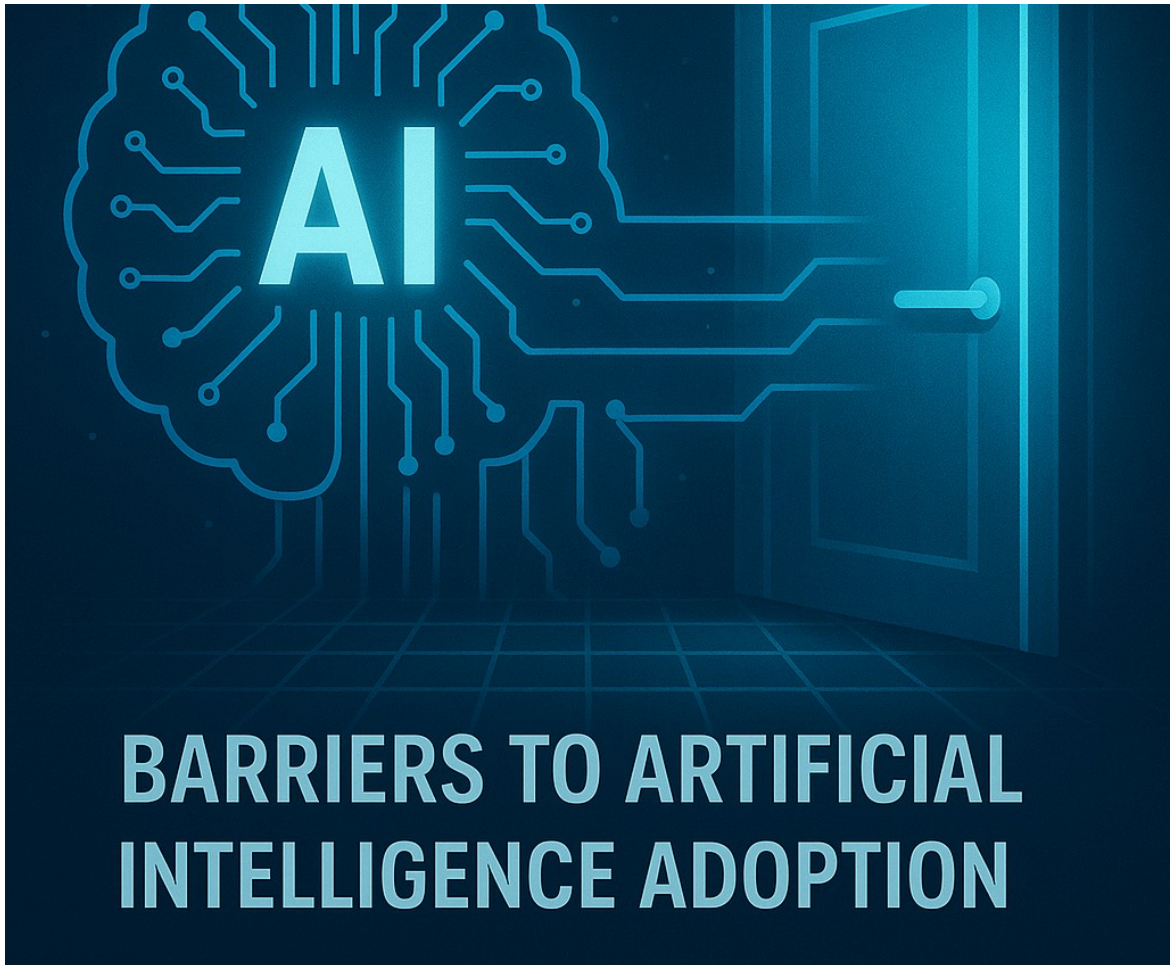
AI and Competitive Advantage

- Operational Efficiency & Cost Savings
- Customer Experience Advantage
- Innovation & Product Development
- Decision-Making & Insight Advantage
- Speed & Agility in the marketplace



Barriers to AI Adoption

- Cost & Resource Constraints
- Skills & Talent Shortages
- Data & Infrastructure Challenges
- Organizational Culture & Resistance
- Ethical, Legal & Risk Concerns



Lesson Block 4:
Leading with AI

AI Leadership (LO5)

Leadership in the AI Era

Dimension	Traditional Leadership	AI-Era Leadership
Decision-Making	Based on experience and intuition	Data-driven, supported by AI and analytics
Team Composition	Human teams	Hybrid teams (humans + AI systems)
Ethics and Responsibility	Focused on human behavior ethics	Oversight of ethical AI use, bias mitigation, and algorithm transparency
Pace of Change	Incremental and predictable	Rapid, disruptive change requiring continuous adaptation
Workforce Management	Stable roles and career paths	Ongoing reskilling, automation of tasks, and job transformation
Innovation	Siloed, process-driven innovation	AI-fueled, continuous, experimental innovation
Intelligence Focus	IQ (intelligence) and EQ (emotional intelligence)	Adds TQ (technology quotient) to IQ and EQ

Leadership Remains the Control System

Direction
Define the problem
Connect AI work to strategy and stakeholder needs

Judgment
Interpret tradeoffs
Decide what evidence is sufficient and when to act

Context
Apply history and relationships
Recognize what the model cannot see

Ethics
Establish boundaries
Protect people, privacy, fairness, safety, and trust

Change
Build understanding and adoption
Redesign roles, processes, incentives, and skills

Accountability
Own the decision
Monitor outcomes and remain answerable for consequences

AI Expands the Field of Vision—Leadership Chooses the Direction



AI CONTRIBUTES

Information
Patterns
Alternatives
Scenarios
Speed



LEADERS CONTRIBUTE

Purpose
Context
Values
Judgment
Accountability

Where should AI strengthen an important decision—and what must remain a human responsibility?

Identify the information, patterns, alternatives, or scenarios AI should contribute.

Identify the judgment, values, context, or approval leaders must retain.

Name the role that remains accountable for the final outcome.

Be ready to share:

“AI should help us ___, but a leader must remain responsible for ___ because ___.”

8 MINUTES

Application Block 3:
AI Leadership Decision Lab

How has your thinking changed since this morning?

Original Statement

1. Opportunity
2. Business outcome
3. Unresolved question

Revised Statement

We are considering using AI to _____

in order to improve _____.

AI would contribute by _____,

while people remain responsible for _____.

Before proceeding, we must address _____.

Test it: Is the problem specific? Is the outcome meaningful? Is AI actually appropriate?

5 MINUTES

Evaluate the opportunity

VALUE

What business outcome justifies action?

AI ROLE

What should AI actually contribute?

ENTERPRISE FIT

Where does it touch process, data, systems, and people?

HUMAN ROLE

What judgment and authority remain human?

READINESS

What gap or guardrail matters most?

EXPERIMENT

What is the smallest useful next step?

The goal is a defensible decision—not a perfect implementation plan.

Build the strongest case for—or against—moving forward.

BUSINESS VALUE	Problem • outcome • evidence of success	**AI CONTRIBUTION**	Automate • predict • generate • detect • recommend • search
ENTERPRISE FIT	Process • data • systems • affected stakeholders	**HUMAN RESPONSIBILITY**	Judgment • approval • accountability
READINESS + GUARDRAIL	Largest gap • minimum protection	**30-DAY EXPERIMENT**	Scope • owner • measure • stop condition

Work in groups of three or four. Use one participant's revised opportunity as the case.

10 MINUTES

What are you Missing: Skeptics Attack

Sponsor	*Why is the opportunity worth pursuing?*
Operator	*How would it change the actual workflow?*
Skeptic	*Which assumption or limitation could cause failure?*
Steward	*What risk, trust, or governance issue must be addressed?*

EACH ROLE ASKS ONE DIFFICULT QUESTION

Revise the opportunity, guardrail, experiment, or decision when the challenge exposes a weakness.

6 MINUTES

Should this opportunity move forward now?

GREENLIGHT

Appropriate for a small, controlled experiment.

REDESIGN

Promising, but the scope, process, data, or controls must change.

PAUSE

The opportunity or organization is not ready to proceed responsibly.

Complete: “We recommend _____ because _____.”

3 MINUTES

What will you carry forward?

One opportunity I will examine

One leadership question I must answer

One action I will take before the next session

Keep this commitment for your own follow-through. No additional report-out is required.

3 MINUTES

Your Standard: Disciplined Leadership

1. Identify the right opportunity
2. Prepare the organization
3. Preserve human judgement
4. Learn through controlled experimentation

Lunch!

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AI ACADEMY

Foundations of Artificial Intelligence

SESSION 1 | SESSION 2 | SESSION 3 | SESSION 4 | SESSION 5

Dr. Andrew Schwarz